

J Sainsbury plc

Preliminary Results



J Sainsbury plc

Simon Roberts
Chief Executive



Agenda



01

Progress against priorities

02

Financial highlights

03

Strategic progress

Our priorities



- Better value and innovation
- Underpinned by buying benefits and lower cost to serve



- Customer and profit focus
- Supporting the core food business



- Structurally lower operating costs to fuel investment in the core
- Cutting complexity and increasing pace of execution



Know and serve our customers better, use the power of Nectar

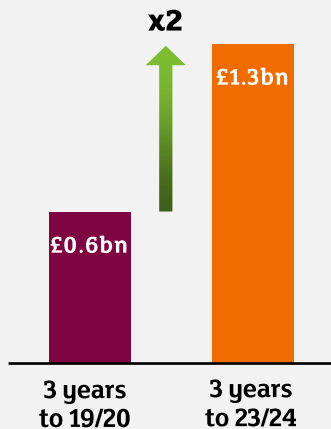


Environmental and social sustainability at our core

We've delivered fundamental changes to strengthen our business

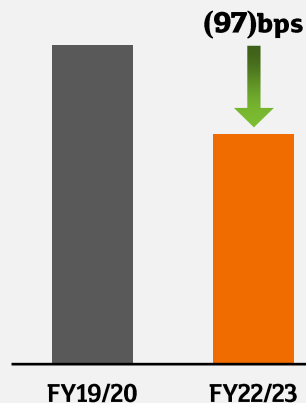
Doubling the run rate of cost savings

Cost savings, £bn



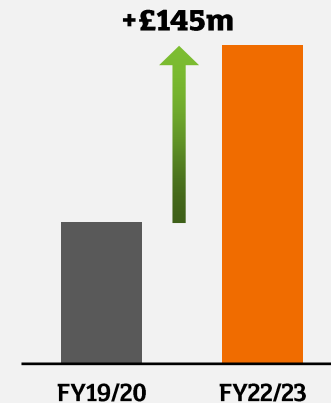
Retail SG&A to Sales

%



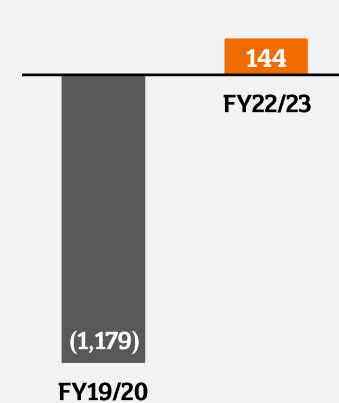
Brands that Deliver Profitability¹

£m



Net (debt) / funds excluding leases

£m



We've reinvested the benefits in our Food business

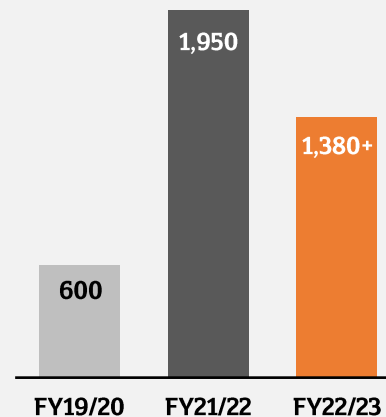
Price index vs Aldi



Price index vs Tesco

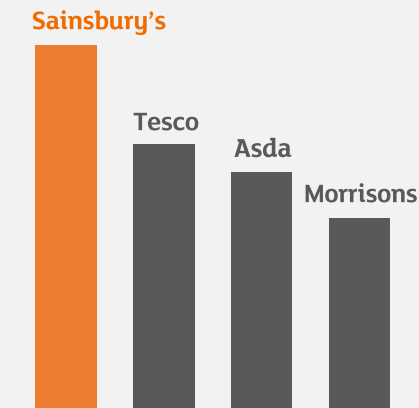


Exceeded our target to launch 1,200 new products this year



Consistently ahead on satisfaction

Supermarket CSAT²



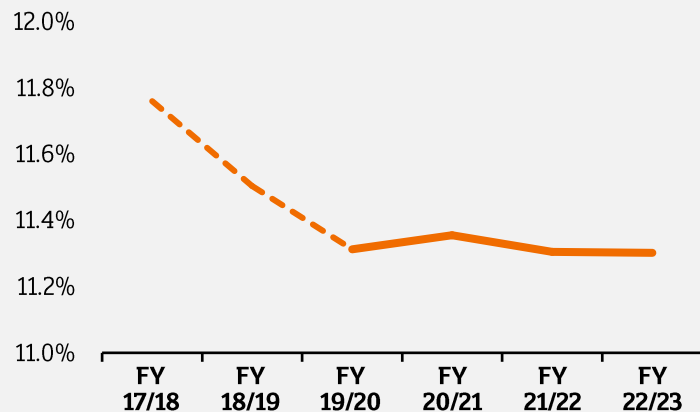
¹ Source: Value Reality. March 2023 vs November 2020; Edge by Ascential, internal modelling

² Source: Supermarket customer satisfaction FY2021/22 + FY2022/23 average %. Competitor benchmarking survey

Investment in food driving volume market share performance

Significantly improved volume share trend under Food First strategy

Grocery volume share¹



Outperforming other full choice grocers

Grocery volume growth:

FY22/23 vs FY19/20²

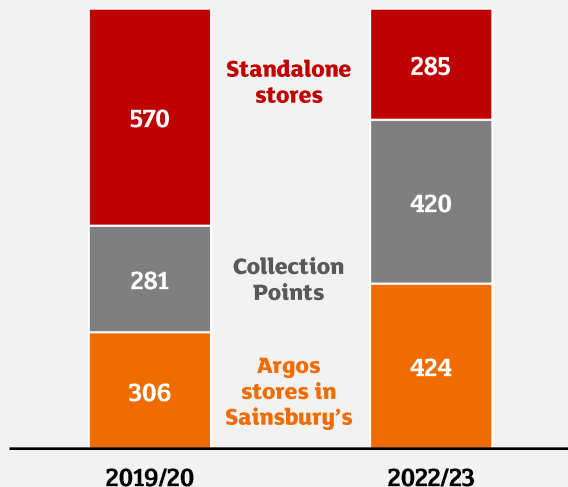


¹ Source: Nielsen Panel volume market share FY17/18 – FY22/23. Total FMCG (excluding Kiosk & Tobacco), Market Universe: Total Outlets

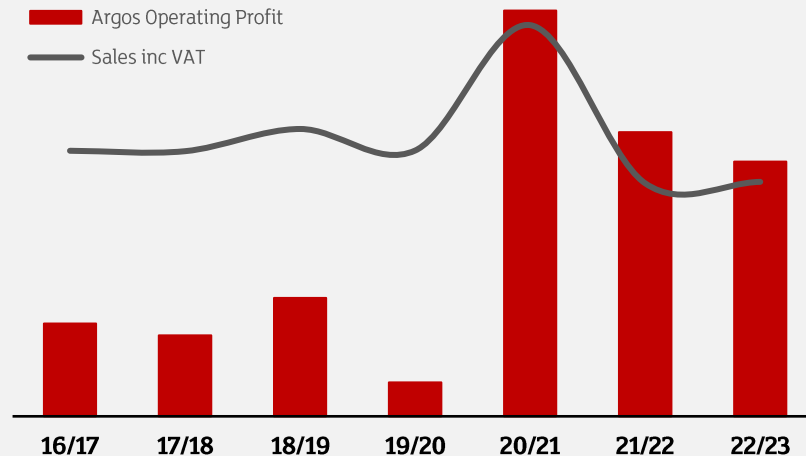
² Source: Nielsen Panel volume growth Yo3Y. Total FMCG (excluding Kiosk & Tobacco), 52 weeks to 4 March 2023. Market Universe: Total Outlets

Argos is a more profitable and resilient business

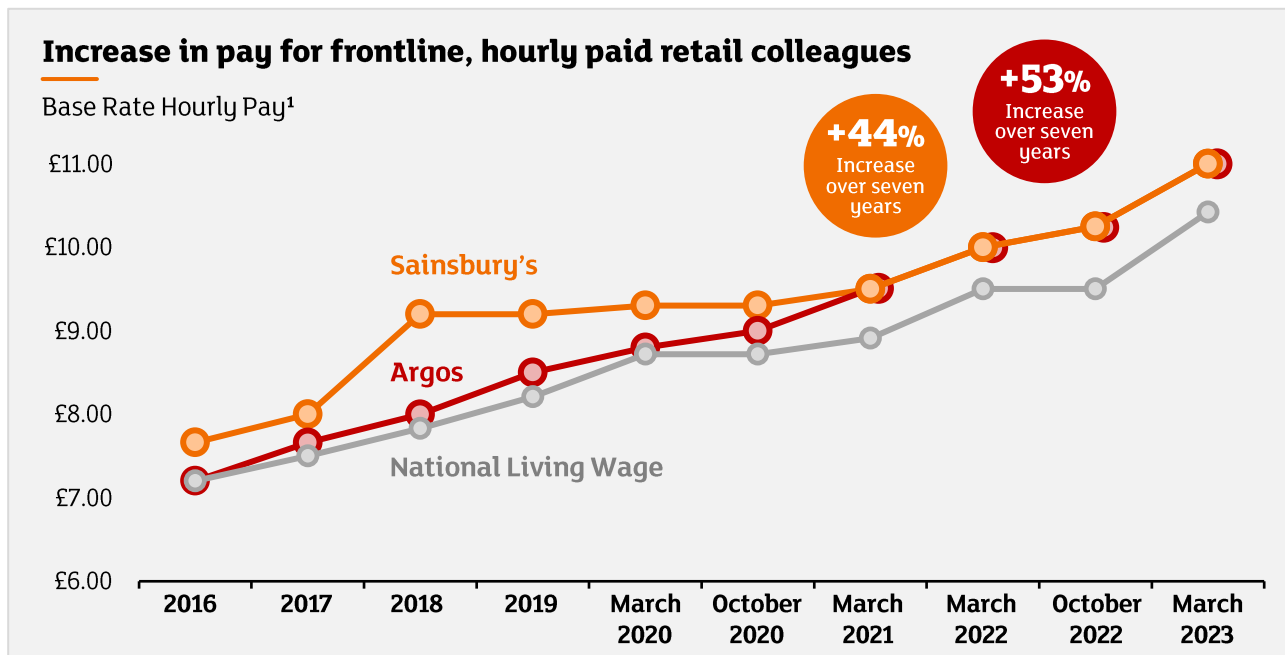
Optimising the store estate, maintaining 1,100+ points of presence



Lower costs have driven significant improvement in Argos operating profit

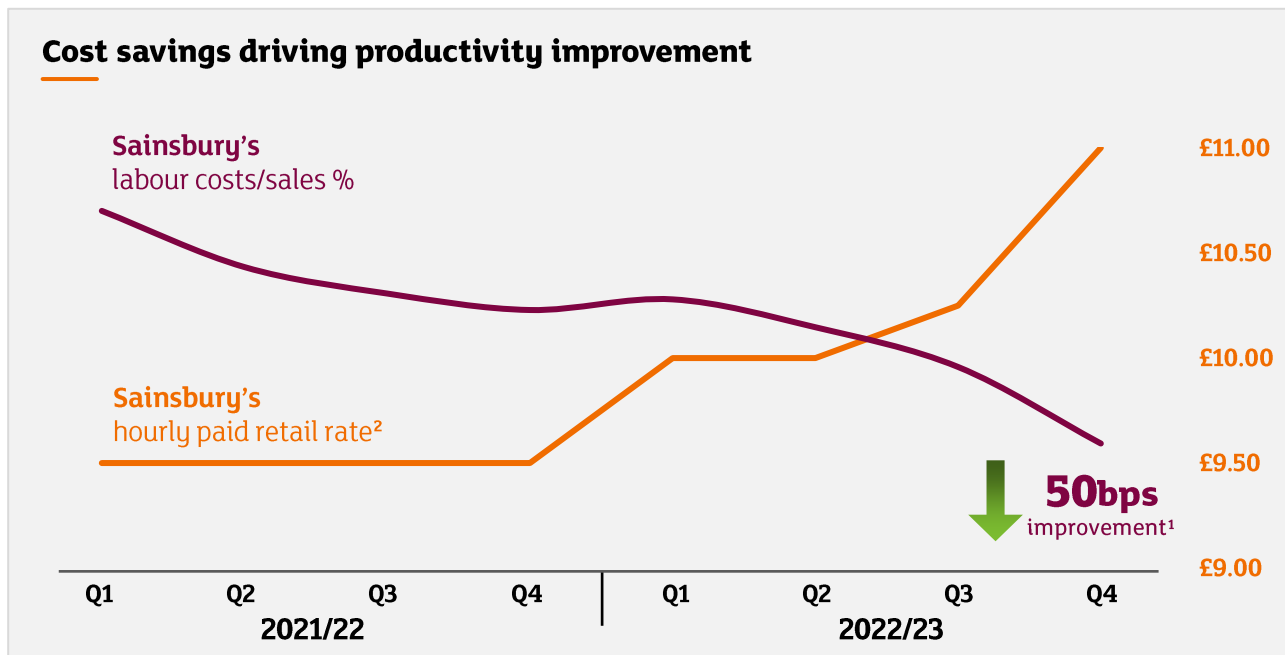


We've made record investments in colleague pay



¹ Rates of pay relate to the National rate (excluding London) and for Argos pre-October 2020 the rate relates to 21s and over and pre-2018 25s and overs

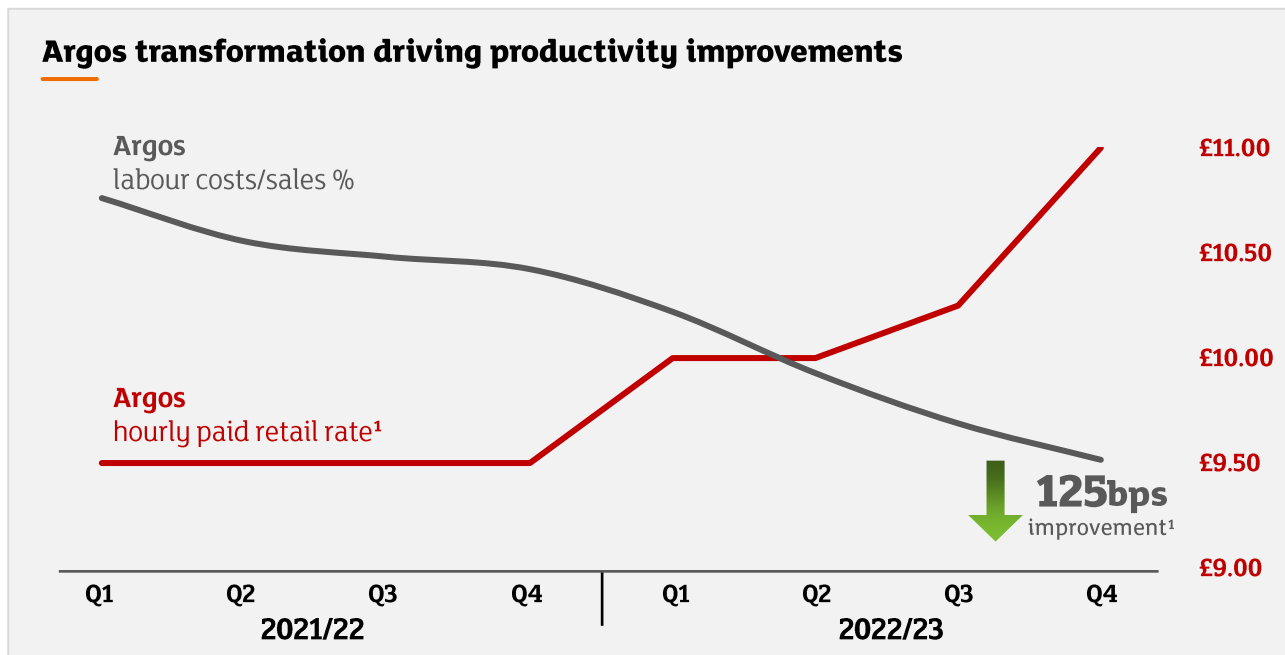
...whilst also improving our productivity in Sainsbury's



¹ Reduction in Labour cost/sales (excl. fuel) % - Q4 22/23 vs Q1 21/22

² Rates of pay relate to the National rate (excluding London)

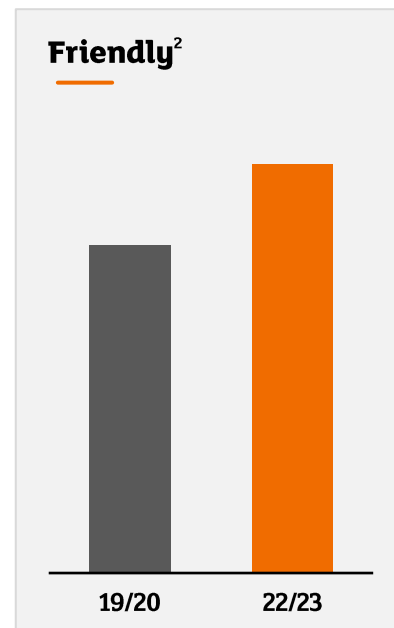
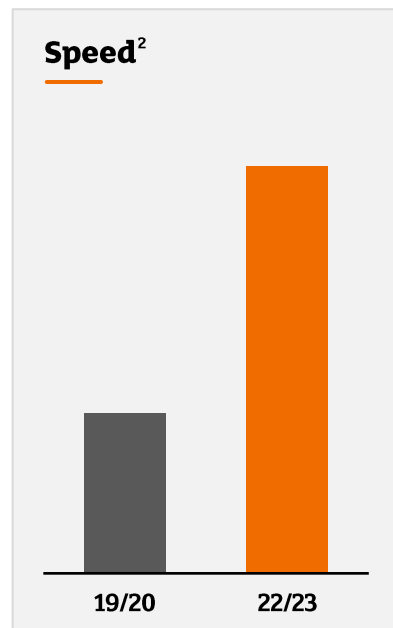
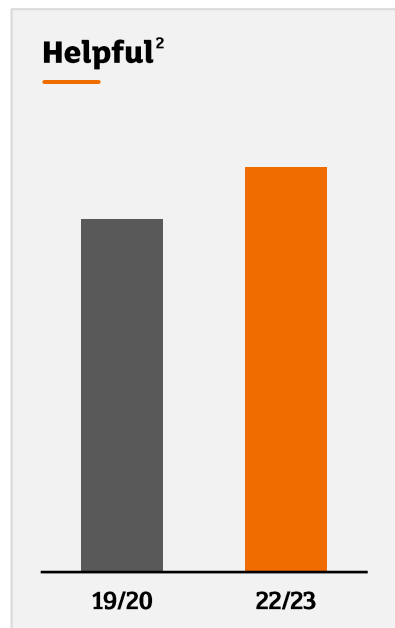
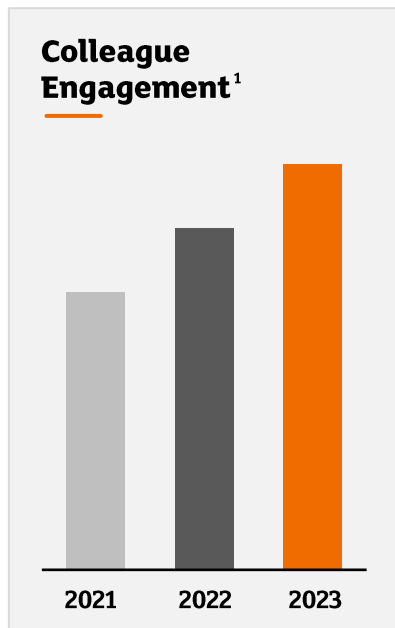
...and in Argos



¹ Reduction in Labour cost/sales % - Q4 22/23 vs Q1 21/22

² Rates of pay relate to the National rate (excluding London)

...and driving higher colleague engagement and customer satisfaction scores



¹ Source: March 2023 eSAT score vs February 2022 eSAT score vs April 2021 eSAT baseline score

² Source: Lettuce Know Supermarket Satisfaction % score (19/20 rebased)

We've navigated 22/23 by making deliberate, balanced choices

Customers



- Invested in keeping prices low
- Consistently inflated behind competitors
- Most competitive on value in years

Colleagues



- Raised colleague pay three times
- First major supermarket to pay Living Wage across the country
- Free food and improved colleague discount

Suppliers



- Continued working closely with suppliers and farmers
- £66 million additional support to British farmers

Shareholders



- Fundamentally improved business
- Results at the top end of expectations
- Strong cash flow generation supporting higher dividend payout ratio

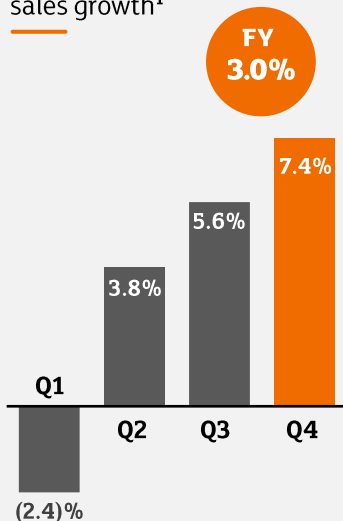
J Sainsbury plc

Bláthnaid Bergin
Chief Financial Officer

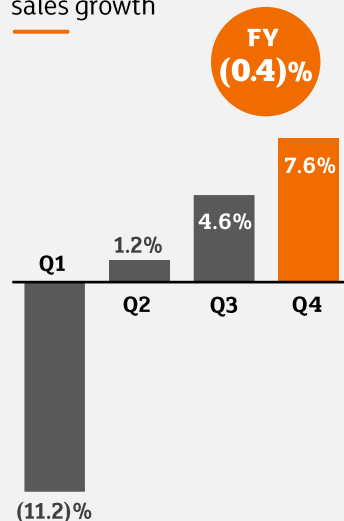


Retail sales growth by category

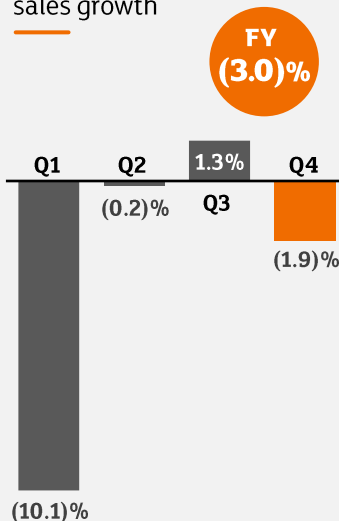
Grocery sales growth¹



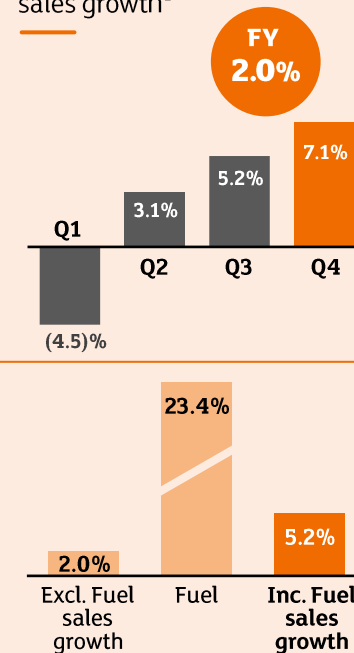
General Merchandise sales growth



Clothing sales growth



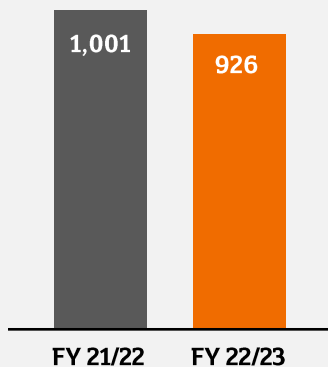
Total Retail sales growth¹



Group performance overview

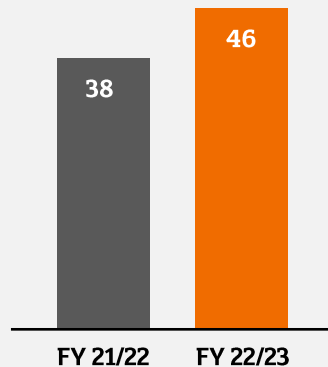
Retail underlying operating profit

down 7% YoY



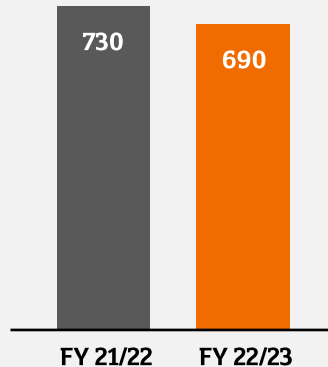
Financial Services operating profit¹

up 21% YoY



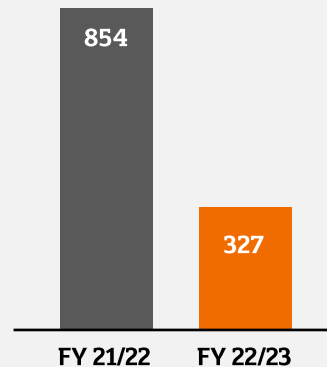
Underlying profit before tax

down 5% YoY



Statutory profit before tax

down 62% YoY



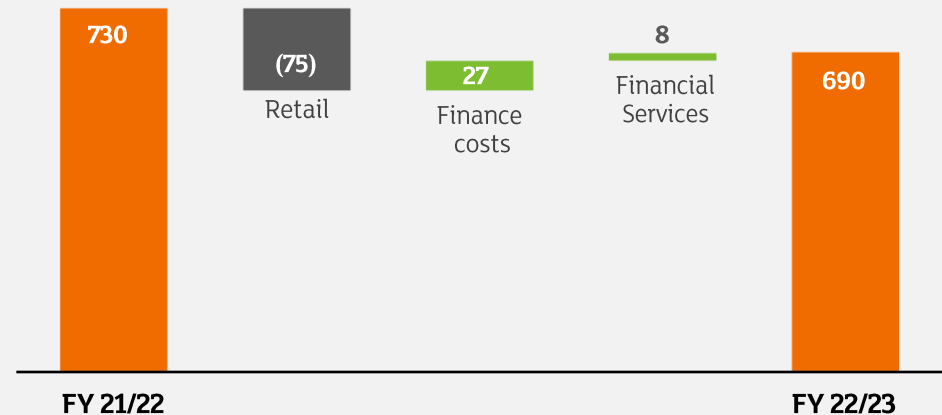
All figures £m

¹ Underlying Financial Services operating profit

Underlying profit before tax

UPBT YoY movement

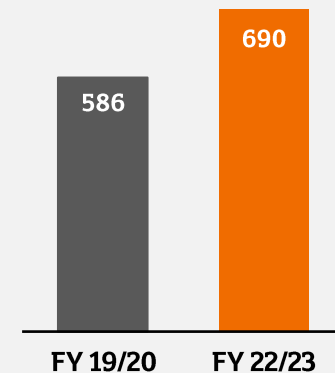
£m



UPBT Yo3Y movement

£m

up 18%

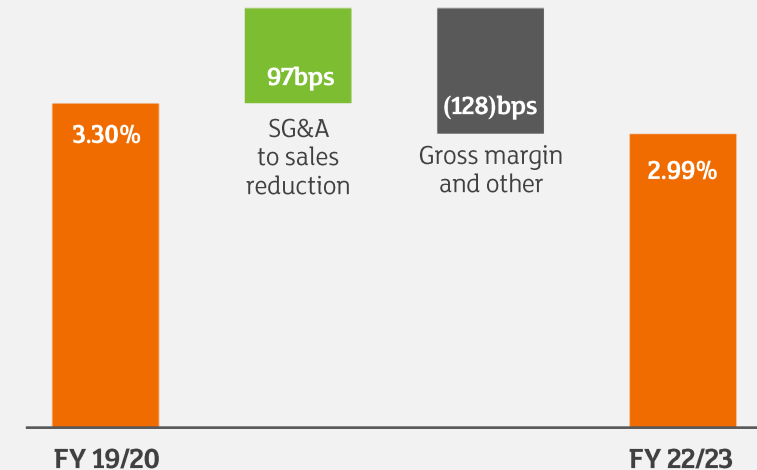


Retail underlying operating margin

Retail underlying operating margin YoY movement



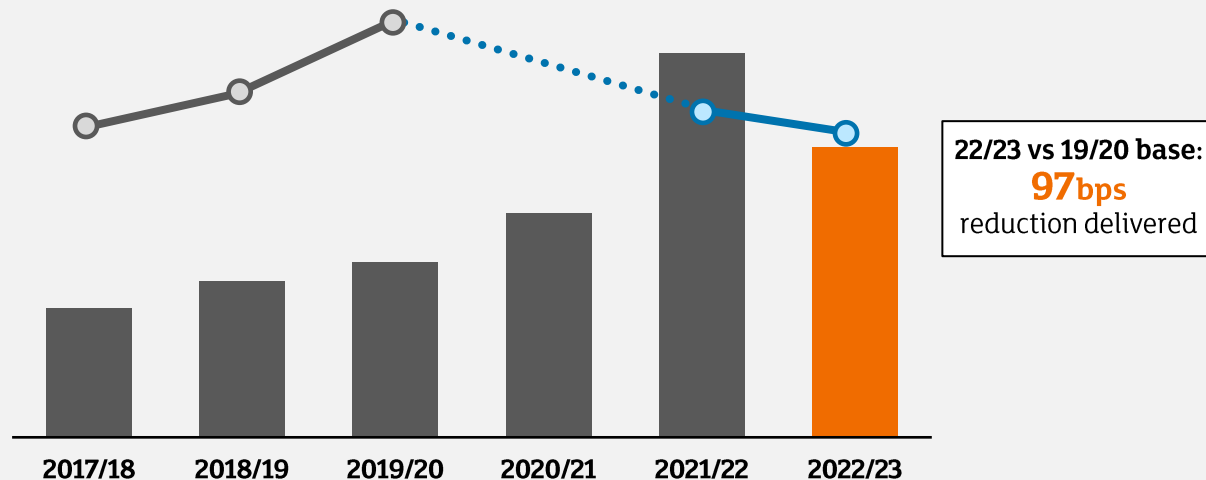
Retail underlying operating margin Yo3Y movement



Strategic cost reduction plan

£900m+ savings delivered over two years

Retail operating cost savings, SG&A/sales

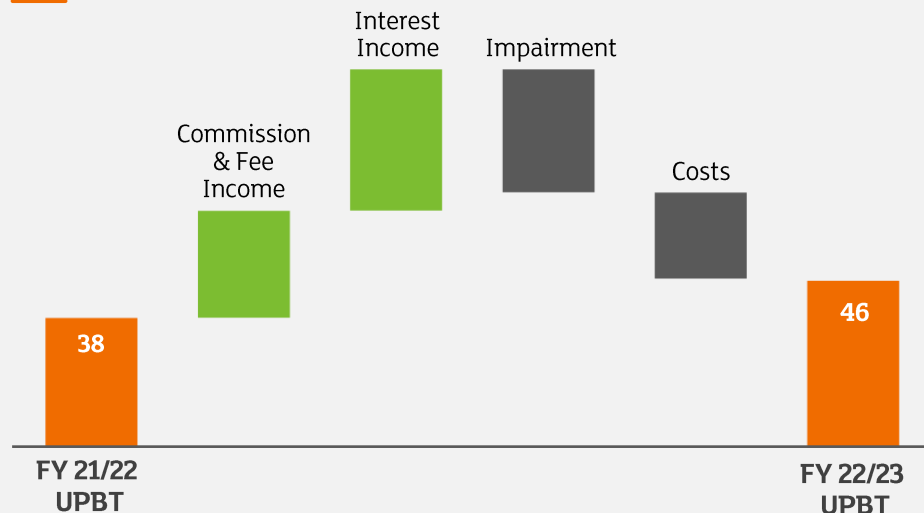


■ Cost savings, £m — SG&A/sales, %

Financial Services

UPBT YoY movement

£m



£m	FY 2022/23	FY 2021/22
Underlying revenue	£531m	£432m
Underlying operating profit	£46m	£38m
Net interest margin ¹	5.1%	4.5%
Cost/income ratio	66%	74%
Bad debt as a percentage of lending ²	2.1%	1.2%
Total Capital Ratio ³	17.9%	18.1%

Guidance

We expect Financial Services profits in FY23/24 to be broadly in line with FY22/23.

¹ Net interest receivable / average interest-bearing assets

² Bad debt expense / average net lending

³ Total capital / risk-weighted assets

Items excluded from underlying results

£m	FY 2022/23	FY 2021/22
Restructuring programmes	(106)	(103)
Impairment charges	(281)	-
Income recognised in relation to legal disputes	30	182
Software as a service accounting adjustment	-	(21)
IAS 19 pension income	58	11
Property, finance and acquisition adjustments	(64)	55
Total items excluded from underlying results	(363)	124

Impairment

Non-cash impairments of £281 million driven by a material increase in the underlying discount rate, following sustained increases in the gilt interest rates.

Guidance

One-off costs from retail infrastructure and operating model changes of around £900m-£1bn from FY20/21, with the majority to be incurred in the period to March 2024 (c. £300m cash)¹. We expect to incur cash costs of around £60m in FY23/24.

¹ To date we have incurred costs of £746 million and cash costs of £203 million

Net debt and Retail free cash flow

£m	FY 2022/23	FY 2021/22
Net cash from operating activities	1,810	1,594
<i>of which working capital movements</i>	174	(185)
<i>of which pension cash contributions</i>	(44)	(71)
Capital expenditure	(717)	(645)
Disposal proceeds ¹	30	48
Sainsbury's Bank dividend	50	-
Lease repayments ²	(528)	(494)
Retail free cash flow	645	503
Dividends paid on ordinary shares	(319)	(238)
Impact of convertible bond	-	240
Net lease additions and Other ³	89	(795)
Movement in net debt	415	(290)
Opening net debt⁴	(6,759)	(6,469)
Closing net debt⁴	(6,344)	(6,759)
<i>of which:</i>		
Lease liabilities	(6,488)	(6,618)
Net funds / (debt) excluding lease liabilities⁵	144	(141)

Highbury and Dragon Store Portfolio Acquisition

- **FY21/22:** Exercised option to acquire 21 stores
 - Increased lease additions
- **FY23/24:** Completion of deal
 - Total consideration £431m + bond redemptions £301m + costs
 - Funded by cash and term loan of £575m
- **Net impact:** Reduced net debt and lease costs, acquisition of high quality store portfolio

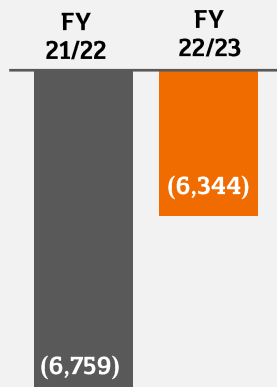
Guidance

Capital expenditure (excluding Financial Services) in FY23/24 to be £750-£800 million. We continue to expect average capital expenditure per annum of £700-£750 million.

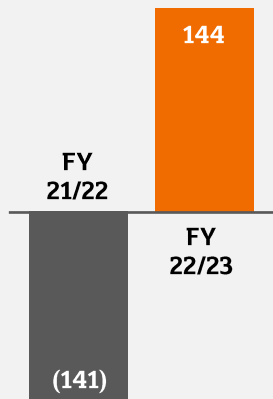
- 1 Includes dividends received from JVs, net of JV capital injections
- 2 Includes initial direct costs on right-of-use assets
- 3 Includes the net movement to lease liabilities, reflecting non-cash additions in the period offset by payments made. Also includes impact of conversion of perpetual securities, cash impact of share purchases and share issuances.
- 4 Net debt definition excludes derivatives not linked to borrowings, and includes perpetual securities as debt

Balance sheet metrics

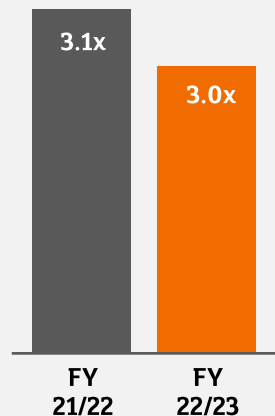
Net debt including leases £m



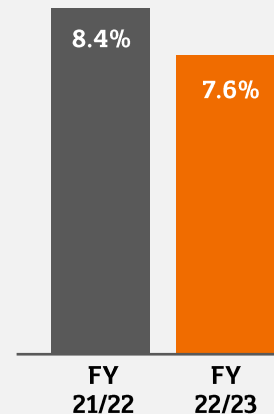
Net (debt)/funds excluding leases £m



Net debt / EBITDA¹



Return on capital employed

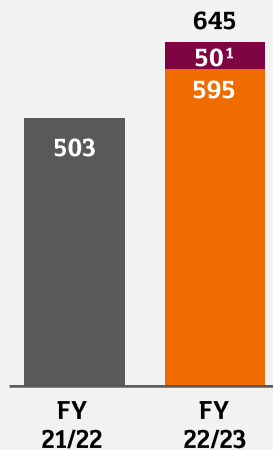


¹ Net debt including leases of £6,344 million divided by Group underlying EBITDA of £2,139 million

Balance sheet metrics

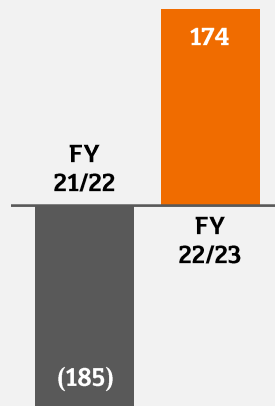
Retail Free Cash Flow

£m

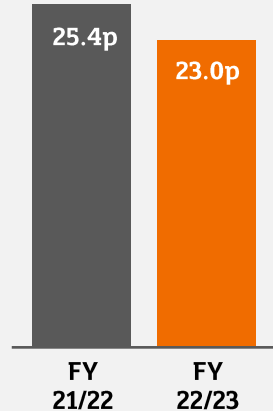


Working Capital movement

£m



Earnings per Share²



Dividend per Share



¹ £50m dividend from Sainsbury's Bank

² Underlying basic earnings per share

Capital allocation framework

1	Invest in the business to support our strategy	Capex to remain in range of £700m-£750m, continue to generate FCF of £500m+ per year
2	A solid investment grade balance sheet	Target leverage of 3.0x-2.4x net debt/EBITDA
3	Deliver strong dividends for shareholders	Payout ratio around 60% of underlying earnings
4	Selectively invest in projects to grow or strengthen the business	Where commercially interesting or NPV positive opportunities exist, such as lease buy-ins
5	Return surplus cash to shareholders	Through higher dividends and/or share buybacks

Summary and Outlook

Strong performance

- Sales growth strengthening through the year
 - Inflation and improved market share performance
- Underlying profit before tax down 5% against Covid-boosted comparative
 - 18% higher than pre pandemic levels
 - Strong cost savings progress; 14bps reduction in SG&A to sales
 - Robust Argos profitability
 - Investing in food value and service
- Strong retail free cash flow generation of £645 million
- Year end net funds of £144 million; £285 million improvement
- Dividend returning higher proportion of underlying profit to shareholders

Outlook

- At this early stage of the year, we expect UPBT **between £640 million and £700 million** in FY2023/24
- We continue to expect to generate **at least £500 million** of Retail free cash flow

J Sainsbury plc

Simon Roberts
Chief Executive





- Better value and innovation
- Underpinned by buying benefits and lower cost to serve

- Improve real and perceived **value for money**
- Increase **innovation** pace
- Grow **Online** capacity and extend routes to market
- Expand physical points of distribution, focusing on **Convenience**
- Deliver **Plan for Better** commitment
- **Tailor** price, proposition and operations to catchments and local customers
- Adapt **supermarket formats** for changing role and to drive efficiency
- Focus **customer service and operational excellence** on what matters for customers

Delivering great value for customers

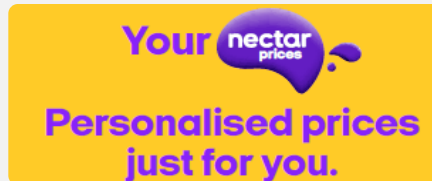
Unique combination of lower prices and personalised offers



- **High volume, fresh lines** that customers buy most often
- Around **300 products** in latest campaign



- **8-week price lock commitment** on Own Brand and Branded products
- Around **2,000** products in latest campaign



- **70+ million unique personalised offers** generated each week
- Up to **30% off** specifically tailored products



- Discounts for **every Nectar customer**
- Initial discounts on **over 300 products**

Launched Nectar Prices instore and online



Hey Big Saver!

Nectar Prices are here.

Without Nectar
£8.10

Nectar price
£4

Without Nectar
£1.40

Nectar price
95p

Scan or swipe Nectar instore or online to save on 100s of products*.

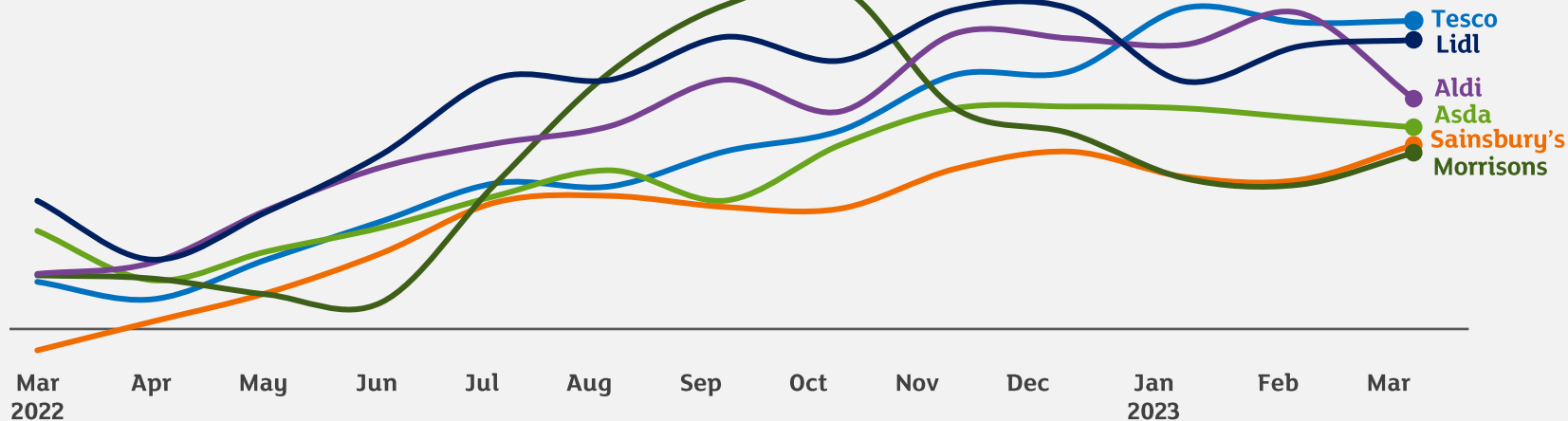
Sainsbury's



*Nectar Cardings required. Available in supermarkets, excludes Landed. Number of products at Nectar Price varies by store size and online. T&Cs and further exclusions apply. Nectar 50p and Nectar Beans 40p End 2024. Subject to availability.

Consistently inflating behind key competitors

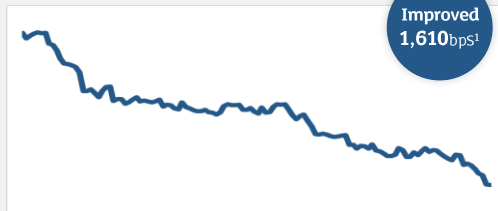
Year on Year ASP Inflation of Top 100 products¹



¹ Source: Nielsen panel data, Total FMCG excl. Kiosk and Tobacco. Top 100 SKUs by retailer. Average Selling Price YoY growth. 52 weeks to 4 March 2023.

Invested more than £560m in value over two years

Price index vs Aldi

January
2021January
2022January
2023

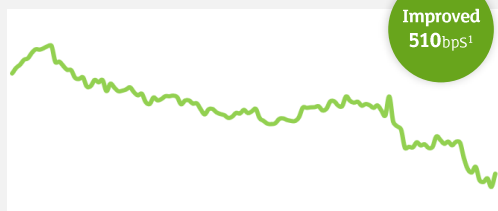
Price index vs Tesco

January
2021January
2022January
2023

Price index vs Lidl

January
2021January
2022January
2023

Price index vs Asda

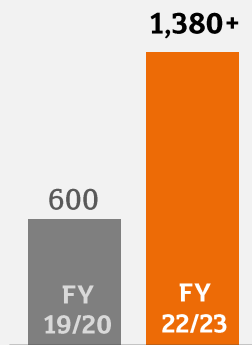
January
2021January
2022January
2023

Price index vs Morrisons

January
2021January
2022January
2023

Innovation is powering our market outperformance in key events

Exceeded innovation target



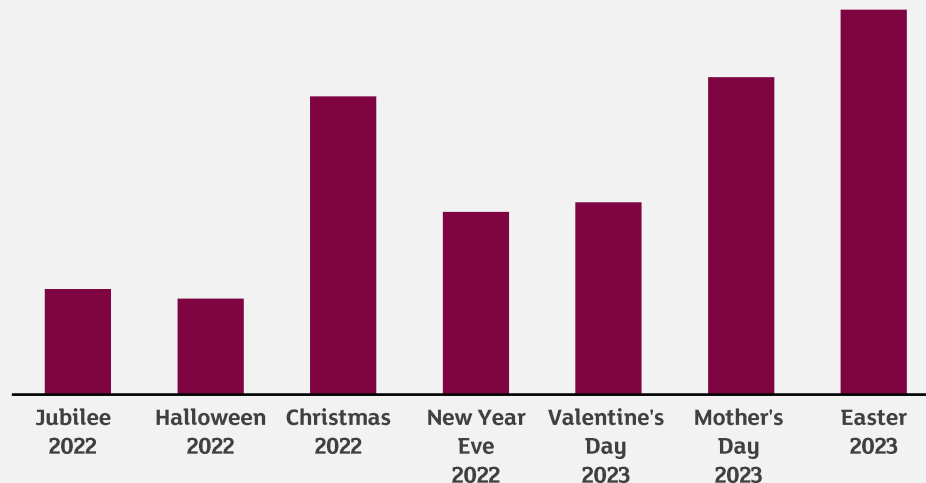
Strong growth in Taste the Difference

up 16% Yo3Y



Customers consistently choosing Sainsbury's to help them celebrate

Market outperformance YoY¹



¹ Source: Nielsen EPOS data - JS volume growth YoY% difference to Total Market growth YoY% for key events week growth versus last year events week



Plan for Better:

Strong progress reducing plastic and tackling food waste

Leading on innovation in plastic packaging



- **1st** UK retailer to vacuum pack all beef mince saving **over 450 tonnes of plastic** each year
- **1st** to market Own Brand handwash refill pouch with **85% less plastic**
- **Launched** our Flourish ready meal range in plastic lined pulp trays using **85% less plastic**

Continued progress in reducing food waste



- Introduced '**Taste Me, Don't Waste Me**' fruit & veg boxes, available in 200 supermarkets for £2
- Over **10 million** meals donated in partnership with Neighbourly
- **Announced removal of 'best before' date labels** from over 270 more own brand products

1 Absolute reduction vs baseline in own brand plastic packaging (tonnes). Baseline reflects 2018 CY for Food + 2020 CY for GM

2 Reduction vs FY19/20 baseline in food waste to anaerobic digestion (tonnes)



Building long-term partnerships with suppliers



**HAPPIER &
HEALTHIER
CHICKENS⁺**

Improved welfare chicken, with the same great value

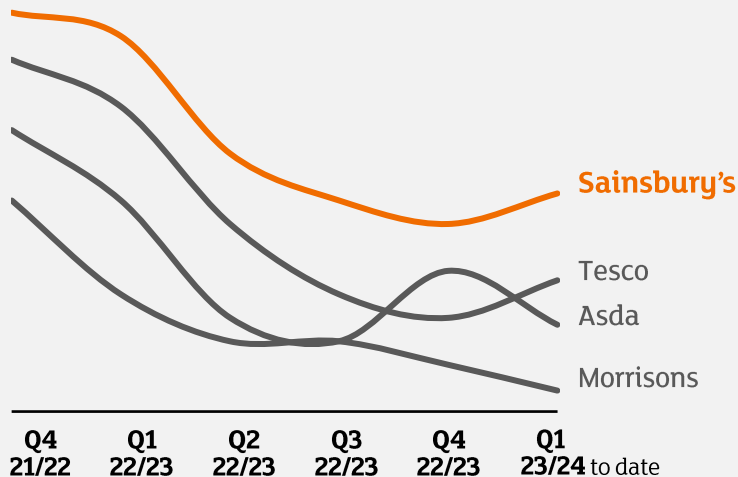
- Long term contract with **Moy Park** for 'by Sainsbury's' chicken
- **20% more space** than industry standard
- Removing plastic trays from whole chicken range, estimated to save **140 tonnes of plastic** annually
- Moving towards **deforestation-free soy** in chicken feed
- Promoting **nature-positive initiatives** on farms



Leading customer satisfaction

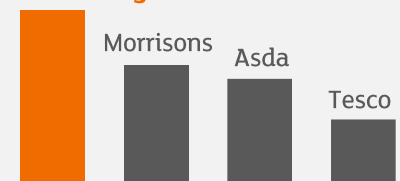
Supermarkets

Customer satisfaction index¹



Availability²

Sainsbury's



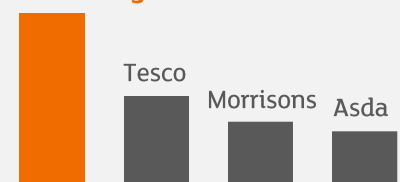
Speed²

Sainsbury's



Quality²

Sainsbury's



Colleague Availability²

Sainsbury's

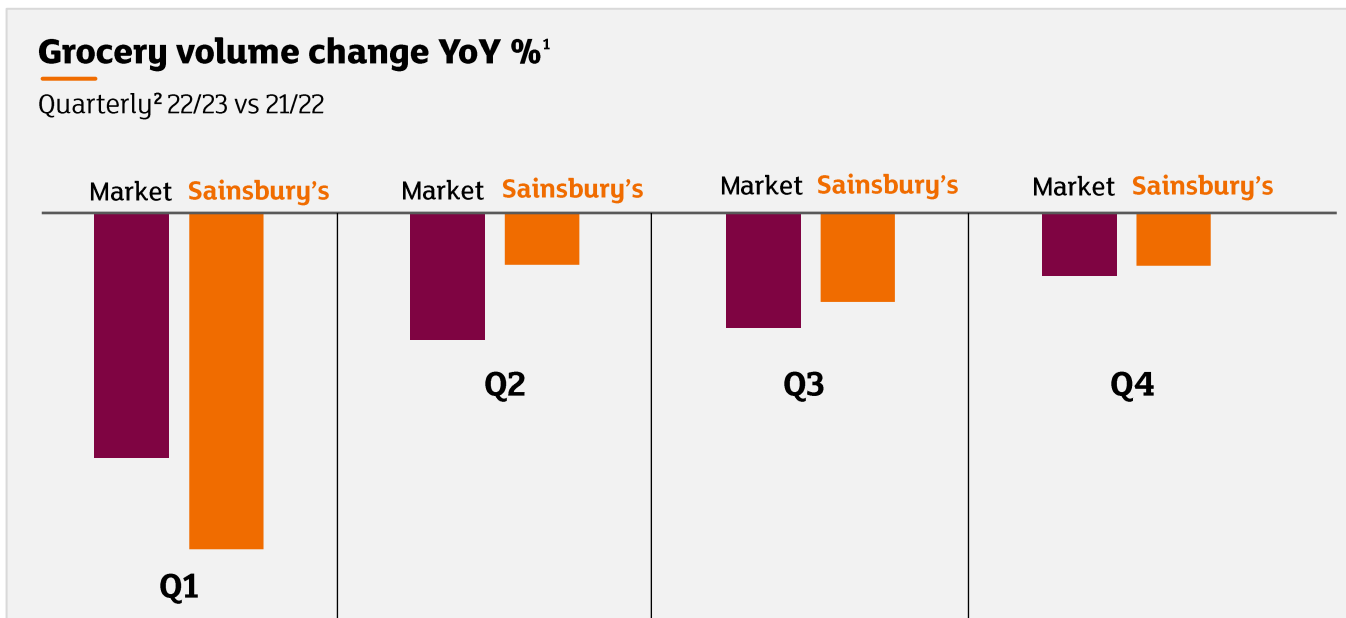


¹ Source: Competitor benchmarking survey. Overall Supermarket customer satisfaction % score

² Source: Competitor benchmarking survey. Supermarket customer satisfaction % scores 12 weeks to 4 March 2023.



Strong relative volume performance



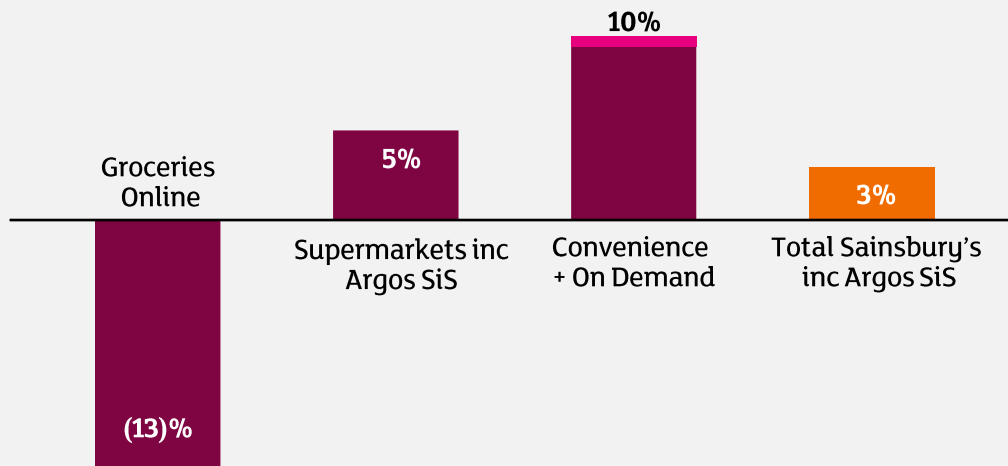
¹ Source: Nielsen panel volume growth YoY. Total FMCG excl. Kiosk & Tobacco, 52 weeks to 4 Mar 2023. Total universe: Total Outlets

² Q1: 16 weeks to 25 Jun 2022; Q2 12 weeks to 17 Sep 2022 Q3: 16 weeks to 07 Jan 2023; Q4: 8 weeks to 4 Mar 2023

Supermarkets and Convenience strong as online normalises

Channel sales growth YoY

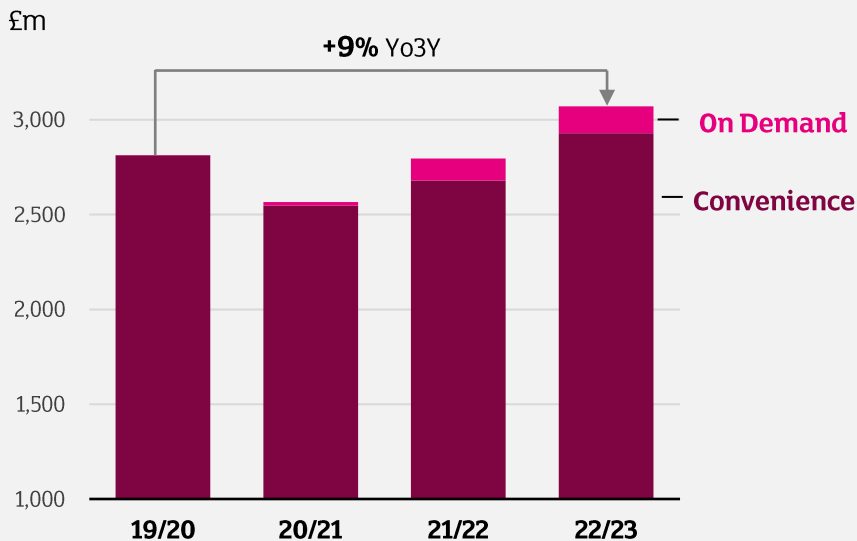
FY 2022/23





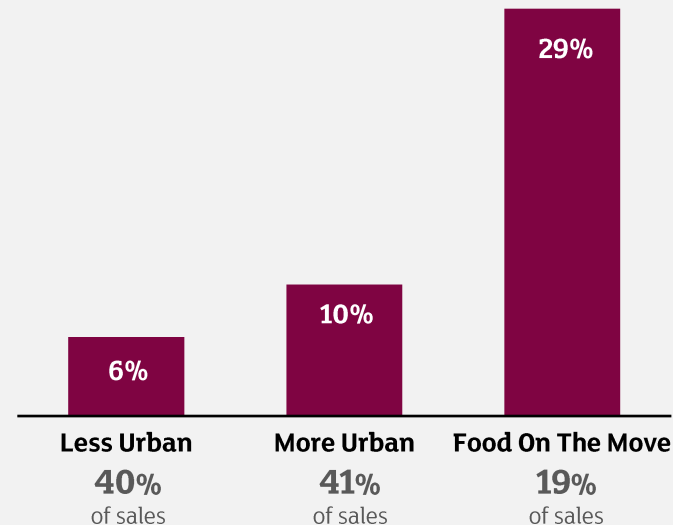
Strong Convenience performance

£3bn Convenience + On Demand sales



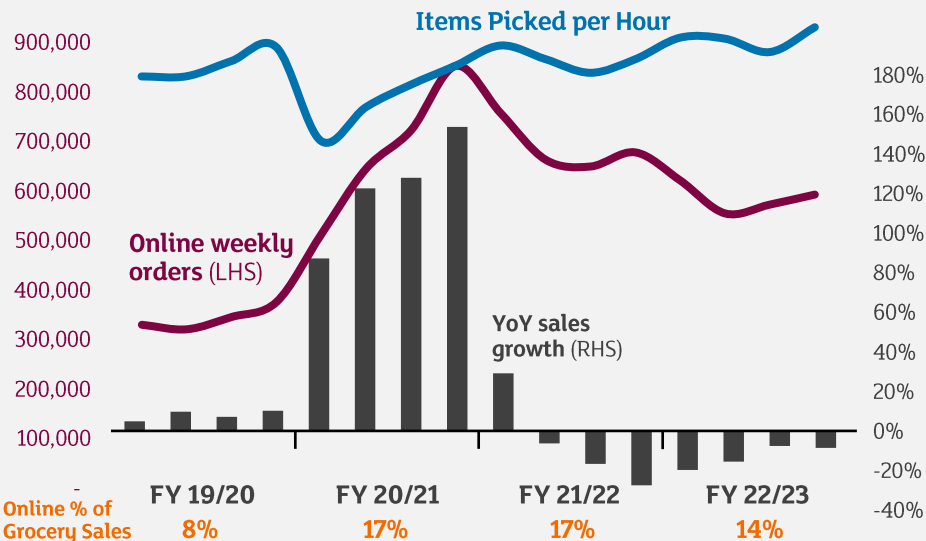
On Demand = Chop Chop + Deliveroo + Uber Eats + Just Eat

YoY Convenience sales growth by cluster

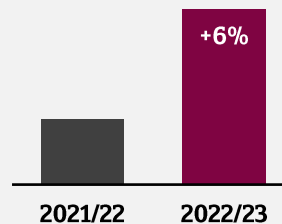


Online productivity gains

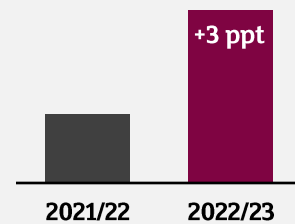
Online weekly orders¹ and YoY sales growth



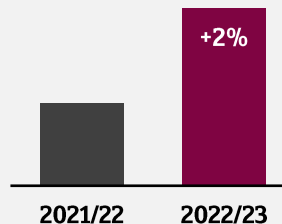
Items Picked per Hour



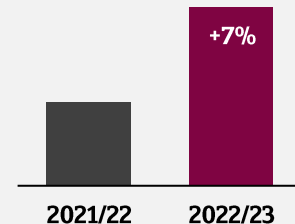
Availability CSAT²



Basket size, £



Delivery pass holders



¹ Average weekly orders, Groceries Online Home Delivery and Click&Collect

² Source: Competitor benchmarking survey. Groceries Online customer satisfaction % scores 12 weeks to 4 March 2023. Availability = Availability of Items Offered



**Brands that
Deliver**

- Customer and profit focus
- Supporting the core food business



N E C
T A R
3 6 0

Focus on food, coalition
and data monetisation



Tu

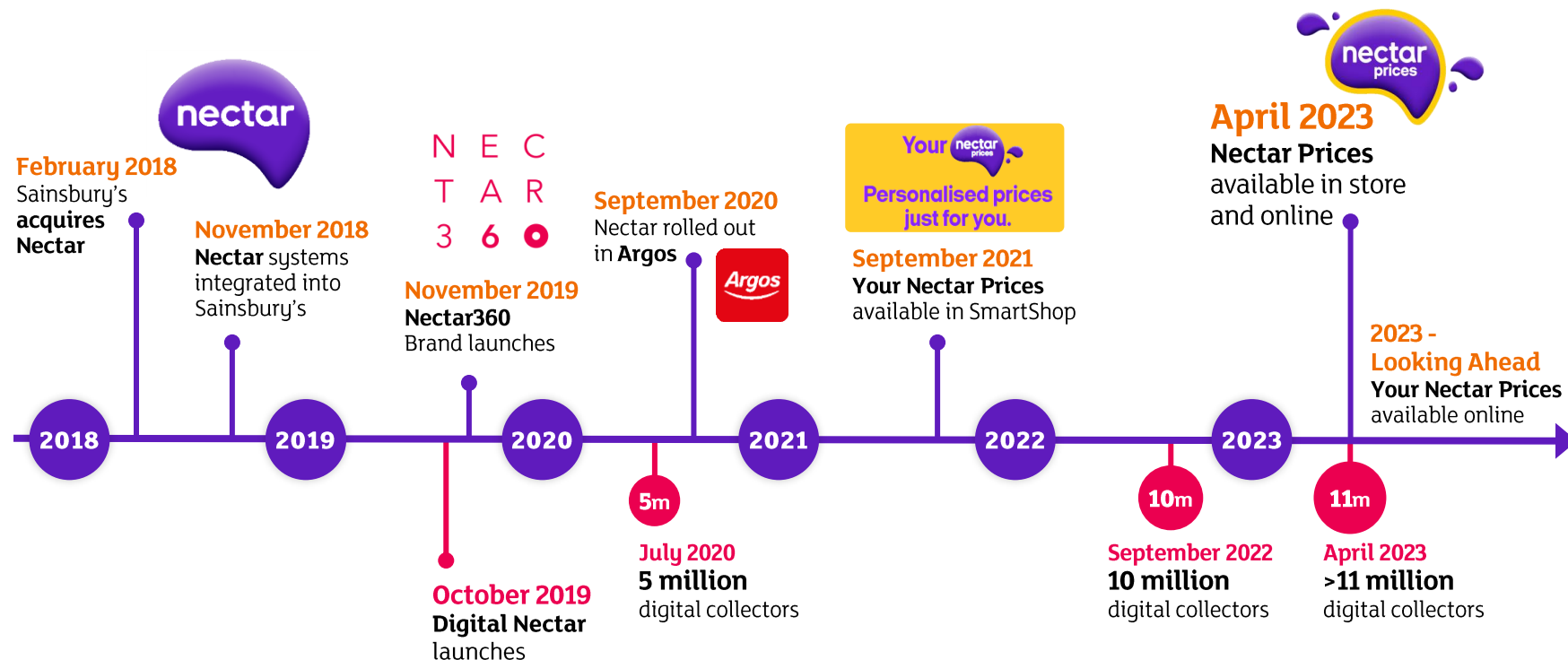
habitat

Reduce cost to serve
Improve profit delivery

**Sainsbury's
Bank**

Simplify and
strengthen

We've transformed Nectar since the 2018 acquisition



Unique combination of lower prices and extra personalised discounts

Your Nectar Prices

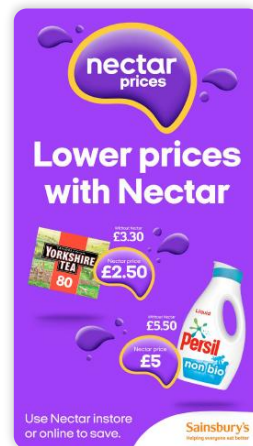


Nectar Prices



Personalised discounts tailored to you

- >2 million SmartShop customers (60% participation¹)
- Customers have saved over £61 million²
- Groceries Online this year



Big savings available to everyone

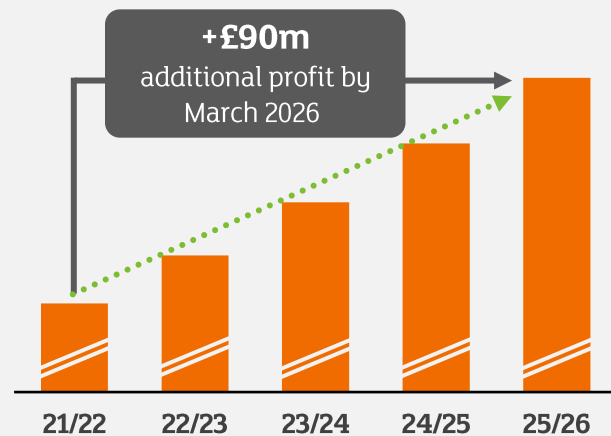
- >18 million Nectar customers can use in supermarkets and online
- >300 selected products, expanding into more categories
- Shelf edge, redeemed via scan or swipe

¹ % of SmartShop users actively using Your Nectar Prices in the 8 weeks to 18 April 2023

² Since launch in September 2021

Increasing Nectar participation fuels our Nectar360 business

On track to deliver additional profit contribution



This chart is not to scale

Loyalty, insights and marketing business



Loyalty:
retained long-term
Nectar partnerships



Shopper Marketing:
advertising placements
in and around store media



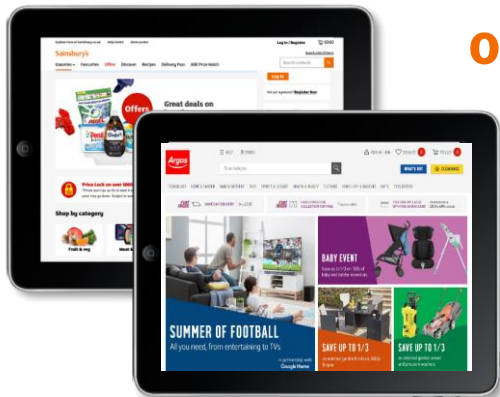
Data and Insights:
bespoke analytics and
insight products



Digital Media:
advertising placements
onsite and offsite



Our Retail Media Network is driving significant incremental growth



Onsite Advertising

sainsburys.co.uk
and argos.co.uk

Offsite Advertising

Digital Trading Platform



Example:
leading ice cream brand

3.2 million
Impressions served

17.5%
Conversion to brand

£12.63
Return on advertising spend¹



Shopper Marketing

In-store Digital Screen Network
Coming Soon

¹ Defined as brand sales generated for every £1 of media spend on a campaign

Strengthening the Argos customer proposition

Improved CSAT

up **2.0% pts** YoY¹

Improved same day availability

up **4.5% pts** YoY²

Accessibility

around **85%**
of UK households
within a 15minute drive

Growing Argos range and assortment

dyson

Emma®
The Sleep Company

mamas
& papas

CuddleC

WW
WoodWick.

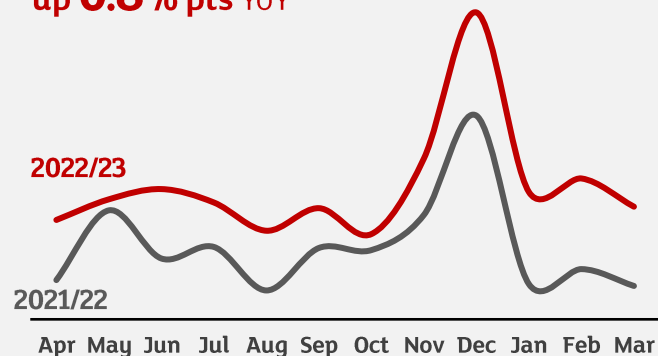
smeg

Miele

NEFF

Argos market share³

up **0.8% pts** YoY



Strong performance in Consumer Electronics,
Technology and Home

1 Source: Customer Satisfaction % score FY22/23 average vs FY21/22 average

2 Argos same day / next day availability for small item

3 Source: GfK tracked market share 12 months to March 2023

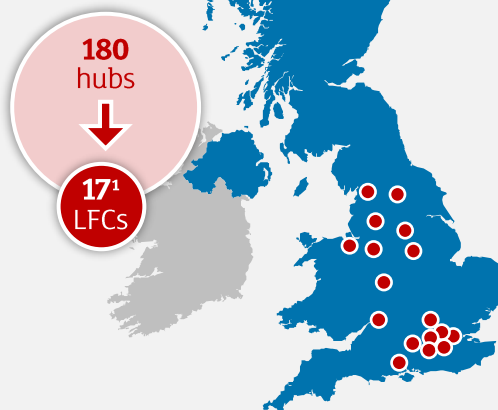
Significant improvement in operating efficiency

Rebalancing the store estate

- ↓ Reducing our standalone store estate
- ↑ Increasing the number of Argos inside Sainsbury's
- ↑ Increasing the number of Argos Collection Points
- ↔ Maintaining points of presence

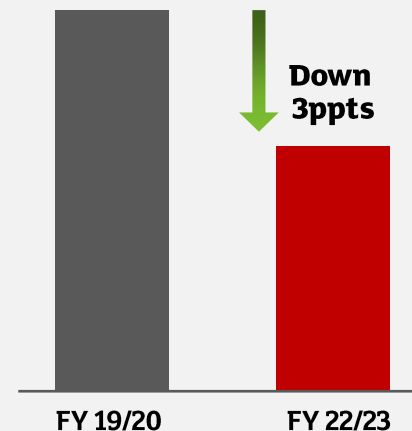
Moving stock closer to customers

Hubs replaced by
Local Fulfilment
Centres (LFCs)



Improving profitability

Argos SG&A to sales



Transforming Argos digital capability



Digital first, omni-channel retailer

73%
online sales participation
+10%pts vs 19/20

#3
most visited UK
Retail website¹

Up 2.6% YoY
Argos Digital CSAT²

Strategic partnerships

*"At the forefront of AI driven
search advertising"*



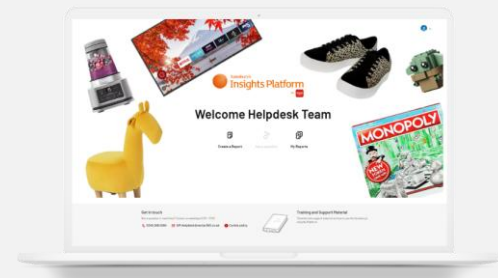
Data optimisation

- Customer
- Commercial
- Availability

Over 5m
linked Nectar
accounts

Sainsbury's Insight Platform for Argos

**First comprehensive insight tool
in GM Market**



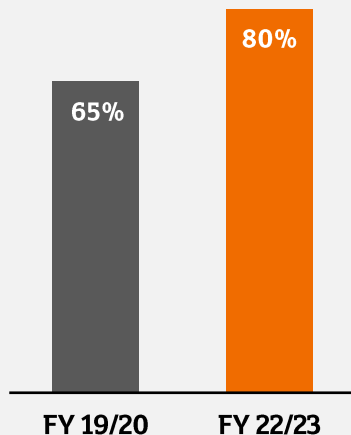
¹ Source: SimilarWeb traffic share, 12 months to March 2023

² Source: Customer Satisfaction % score FY22/23 average vs FY21/22 average

Tu Clothing

Stronger, more profitable, robust market share¹

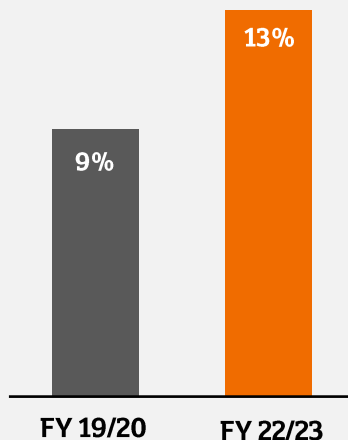
Higher full-price sales participation



Online sales

up **46%** Yo3Y

Online participation %



Tu.co.uk

- Single e-commerce platform powering Tu, Argos and Habitat
- Growing third party brands online



¹ Source: Kantar total Clothing, Footwear and Accessories YoY % volume growth. 24 weeks ending 4 March 2023



Financial Services

Focused on delivering strategic commitments

Providing financial services for Sainsbury's and Argos customers

- Funding **over £1.7bn** of Sainsbury's and Argos retail spend
- **Around 80%** of Bank customers have a Nectar card
- Enhanced **digital journeys** helping improve conversions
- Strong **Customer NPS** in Bank and Argos Financial Services
- New Bank **brand proposition** launched

1

Capital self-sufficiency

2

Improve returns

3

Financial services cash generative

4

Transform the cost base

5

Reduce risk profile to group

6

Focus on Sainsbury's customer base



- Structurally lower operating costs to fuel investment in the core
- Cutting complexity and increasing pace of execution

Structural change to accelerate cost reduction

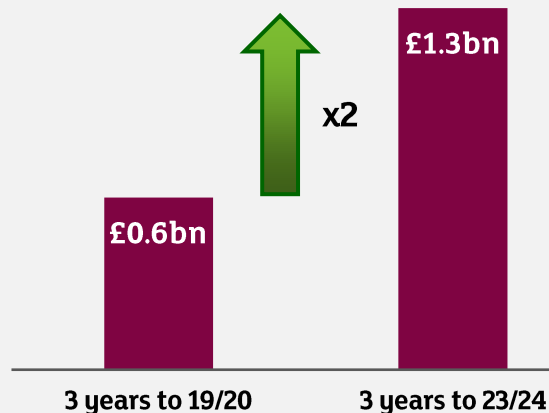
- Reduce operating costs to **fuel investment in the core**
- Transform our approach to costs and radically simplify our organisation
- Reduce retail operating costs to sales by more than **200bps**
- Work with suppliers to drive value



Delivering cost savings and building further capacity

We are **doubling** the run rate of cost savings

Cost savings, £bn



Key cost savings

£900m+

Total savings delivered over two years

Efficiency

- Store operations
- Groceries Online operating model

Structural Change

- Argos transformation
- Centrals & Organisation
- Logistics Transformation

Customer Proposition Change

- Food Services
- Marketing
- Property rationalisation



Logistics Transformation:

Investing £220m to consolidate, simplify and innovate



Connected Network

Network integration
increasing capacity and
efficiency



Innovate & Automate

Investing in automation,
new technology and
Plan for Better transition



Partnerships

A new model of
partnership
By product type, at a
national scale



Enabling End to End Value

Supporting a fully
optimised end to end
operating model

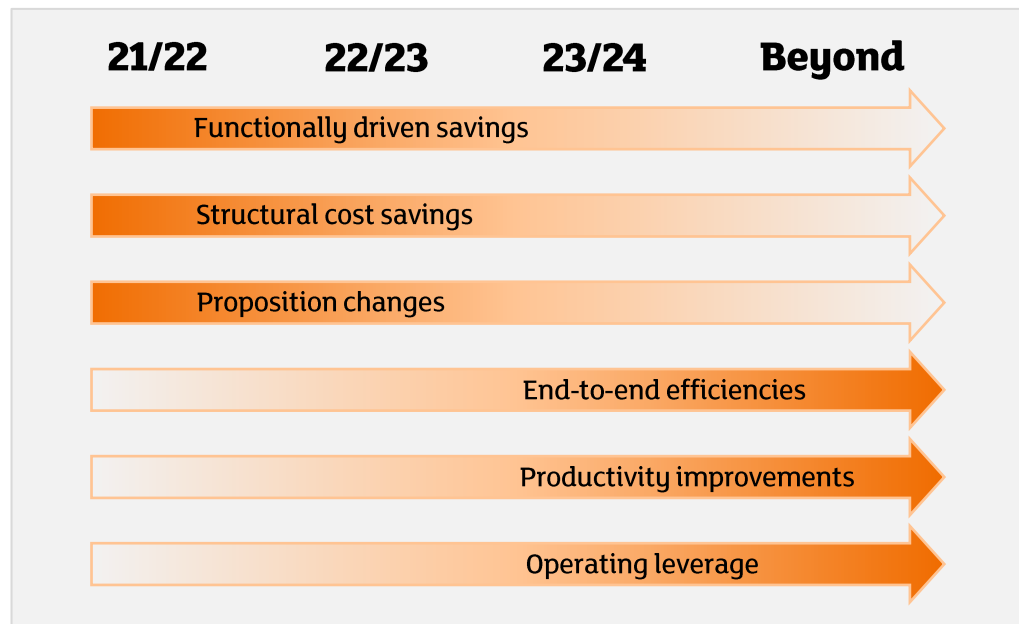


Productivity & Culture

Driving improved
productivity through
investing in culture,
talent and skills



Shift towards 'end-to-end thinking' will allow us to continue generating cost savings





Optimising the end-to-end operating model



Range

Targeted range optimisation
Driving end to end efficiency whilst maintaining customer proposition



Space

Review of in-store space usage to drive sales and reduce operational cost



Product Flow

Optimising product flows from our supplier base, through our logistics network and into store



Store Process

Simplification and rethinking of in-store processes and routines



Getting to Shelf

Optimising replenishment for productivity whilst maintaining customer offer



Supply Chain

Major investment in our Supply Chain systems to introduce cutting-edge capabilities, enable personalisation, automation and differentiation and work in new ways with our partner suppliers



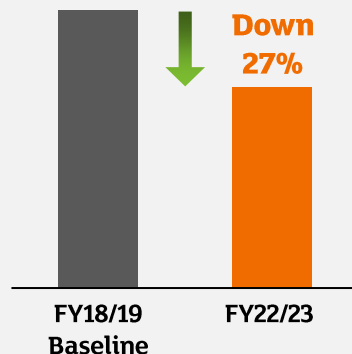
Managing our energy costs

Energy efficient stores

- **100% LED** lighting across our estate
- **Solar panels**
- **Air-sealed doors**
- Demand-controlled **ventilation**
- **Refrigeration** integrated heating and cooling

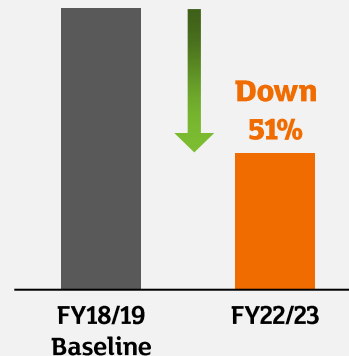
Lower electricity consumption

Electricity consumption (kWh)



Reduced Scope 1 & 2 emissions

GHG annual emissions (tonnes, 000s)



40%
New to Planet
electricity
from December 2023



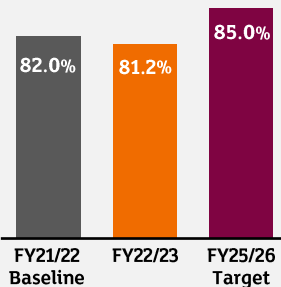
Plan for Better: progress against our priority pillars

Healthy & sustainable diets



Better for you

85% healthy and better for you sales tonnage by 2025¹



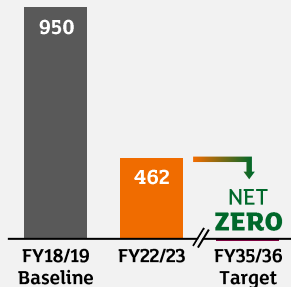
% as a proportion of total sales tonnage

Reduction in Carbon emissions



Better for the planet

Reduce Scope 1 & 2 emissions to Net Zero by 2035



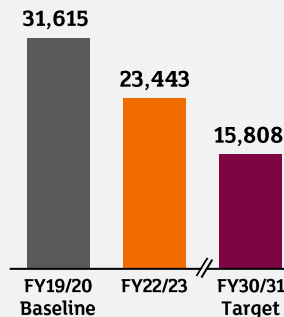
Scope 1 & 2 GHG annual emissions (tonnes, 000s)

Reduction in Food waste



Better for the planet

Reduce food waste by 50% by 2030



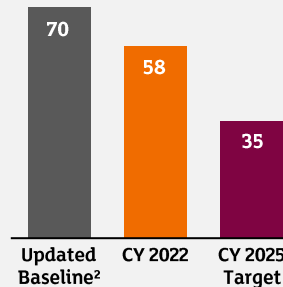
Anaerobic digestion food waste (tonnes)

Reduction in plastic packaging



Better for the planet

Reduce our use of own brand plastic packaging by 50% by 2025 and increase recycling



Tonnes (000s) of own brand plastic packaging

An inclusive place to work and shop



Better for everyone

Committed to achieving our diverse leadership representation targets by 2024

Senior Leadership

	Today	By 2024
Female	44.2%	50%
Ethnically diverse	9.3%	12%
Black heritage	2.8%	3%

1 Revised healthy & sustainable diets target driven by changes to our nutrient criteria, following updated government reformulation targets. Revision to 85% healthy and better for you sales by tonnage (FY21/22 baseline of 82%),

2 Updated commitment to reduce our use of own brand plastic packaging - baseline reflects 2018 CY for Food + 2020 CY for GM

8 key metrics

Delivering for customers and driving stronger financial outcomes

Operational

Grocery market share performance

Strong customer satisfaction scores

Maintain strong colleague engagement

Deliver our Plan for Better commitment

Financial

UPBT growth

200bps+ reduction in retail operating cost to sales

Dependable retail free cash flow: £500m+ pa average

Increase Return on Capital employed¹

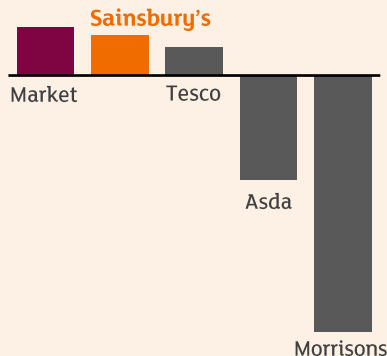
¹ ROCE: return divided by capital employed. Return is defined as a 52 week rolling underlying profit before interest and tax. Capital employed is defined as group net assets excluding the pension deficit/ surplus and excluding net debt. The average is calculated on a 14 point basis

Two years into our plan, we're making good progress on our metrics

Grocery market share performance



Volume growth
ahead of full choice grocers¹

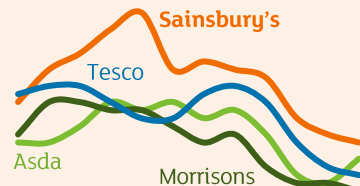


Strong customer satisfaction scores



+40bps
Overall
CSAT
vs 19/20

Ahead of competitors
on Supermarket CSAT²



Maintain strong colleague engagement



+6ppt
Colleague
engagement
score³

+5ppt
Colleague
authenticity
score³

+4ppt
Colleague
empowerment³

+7ppt
Manager
support³

Deliver our 'Plan for Better' commitment



¹ Source: NielsenIQ Panel volume growth Yo3Y. Total FMCG (excluding Kiosk & Tobacco), 52 weeks to 4 March 2023. Market Universe: Total Outlets

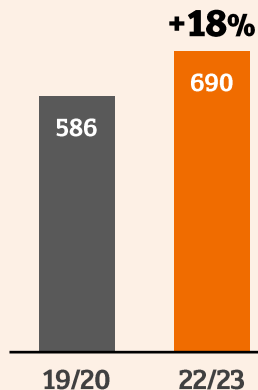
² Source: Competitor benchmarking survey. Overall Supermarket customer satisfaction % score 2020/21 to 2022/23

³ Source: eSAT scores March 2023 vs April 2021 (baseline)

Two years into our plan, we're making strong progress on our metrics

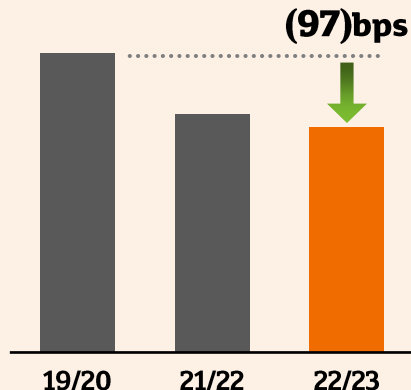
UPBT Growth

£m



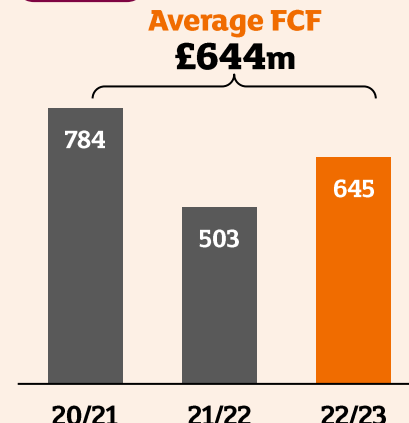
200bps+ reduction in retail SG&A to sales

%



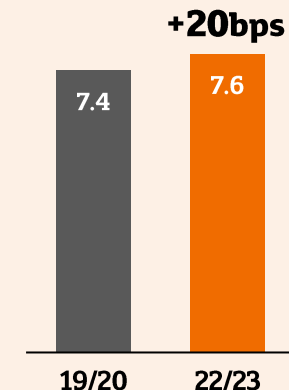
Retail free cash flow: £500m+ pa average

£m



Increase Return on Capital Employed

%



Building on a strong foundation for the year ahead

Build on

Strong trading momentum

Retain

Flexibility to make the right choices

Deliver

Bold cost savings

Embed

Plan for Better

Sustain

Competitive value position

Invest

To help customers and colleagues

J Sainsbury plc

Appendices



Guidance for 2023/24

Profit

- We expect underlying profit before tax between £640 million and £700 million in FY 2023/24
- We expect Financial Services profits in FY23/24 to be broadly in line with FY22/23

Finance costs

- We expect underlying net finance costs in FY23/24 of between £295 - £305 million, including around £245 - £255 million lease interest

Space

- In FY 2023/24, we expect to open three supermarkets and around 25 new convenience stores, and to close around one supermarket and five to ten convenience stores.
- In FY 2023/24, we expect to open around 30 Argos stores inside Sainsbury's and close around 100 Argos standalone stores including 34 stores in Ireland.
- In the UK we expect the standalone Argos store estate will reduce to around 180 stores by March 2024, while we expect to have 430-460 Argos stores inside Sainsbury's supermarkets as well as 450-500 Argos collection points

Depreciation and amortisation

- In FY 23/24 we expect retail underlying depreciation and amortisation of around £1.15bn, including around £450m right of use asset depreciation

Items outside of underlying

- We expect to incur one off costs from retail infrastructure and operating model changes of around £900 million to £1 billion, with cash costs of around £300 million, with the majority in the period from March 2021 to March 2024
- In FY 2023/24 we expect to incur cash costs of around £60 million in relation to this programme

Capital allocation

- We expect average capital expenditure per annum of £700 - £750 million
- We expect to generate at least £500m of retail free cash flow per year
- We will use some of this retail free cash flow to deleverage further, targeting a solid investment grade balance sheet consistent with target leverage of net debt to EBITDA of 3.0x - 2.4x
- We are focused on delivering strong dividends to shareholders, with a dividend payout ratio of around 60% of underlying earnings
- Selectively invest in projects to grow or strengthen the business, where commercially interesting or NPV positive opportunities exist
- We expect leverage to move below 3x over time, helped by a reduced impact of lease liabilities relating to properties formerly in the Highbury and Dragon property investment pools. Once leverage is comfortably within our target range, we expect to be able to return more cash to shareholders through higher dividends and/or share buybacks

Capital expenditure and cash generation

- In FY 2023/24 we expect capital expenditure to be around £750 - £800 million
- In FY 2023/24 we expect to generate at least £500m of retail free cash flow

Pension

- For 2023/24, total pension scheme cash contributions are expected to be around £45 million

Tax rate

- We expect an underlying tax rate in FY 2023/24 of around 29 per cent

Sales growth by quarter

Like-for-like sales growth

	2021/22			
	Q1	Q2	Q3	Q4
Like-for-like sales (excl. fuel)	1.6%	(1.4%)	(4.5%)	(5.6%)
Like-for-like sales (incl. fuel)	8.4%	3.0%	0.6%	2.7%

2022/23 YoY

	Q1	Q2	Q3	Q4	FY
	(4.0%)	3.7%	5.9%	7.8%	2.6%
	2.9%	7.7%	6.8%	5.9%	5.7%

Total sales growth

	2021/22			
	Q1	Q2	Q3	Q4
Grocery	0.8%	0.8%	(1.1%)	(1.6%)
Total General Merchandise	(1.4%)	(11.4%)	(16.0%)	(21.1%)
GM (Argos)	(3.7%)	(12.0%)	(16.1%)	(20.4%)
GM (Sainsbury's supermarkets)	11.2%	(8.0%)	(15.7%)	(24.1%)
Clothing	57.6%	9.2%	(2.7%)	(9.3%)
Total Retail (excl. fuel)	1.6%	(1.7%)	(5.3%)	(6.2%)
Fuel	95.1%	36.1%	47.5%	80.1%
Total Retail (incl. fuel)	8.5%	2.7%	(0.1%)	2.2%

2022/23 YoY

	Q1	Q2	Q3	Q4	FY
	(2.4%)	3.8%	5.6%	7.4%	3.0%
	(11.2%)	1.2%	4.6%	7.6%	(0.4%)
	(10.5%)	1.6%	4.5%	9.3%	0.1%
	(14.6%)	(1.3%)	5.4%	(1.0%)	(2.9%)
	(10.1%)	(0.2%)	1.3%	(1.9%)	(3.0%)
	(4.5%)	3.1%	5.2%	7.1%	2.0%
	48.3%	29.1%	12.2%	(2.8%)	23.4%
	2.5%	7.2%	6.2%	5.4%	5.2%

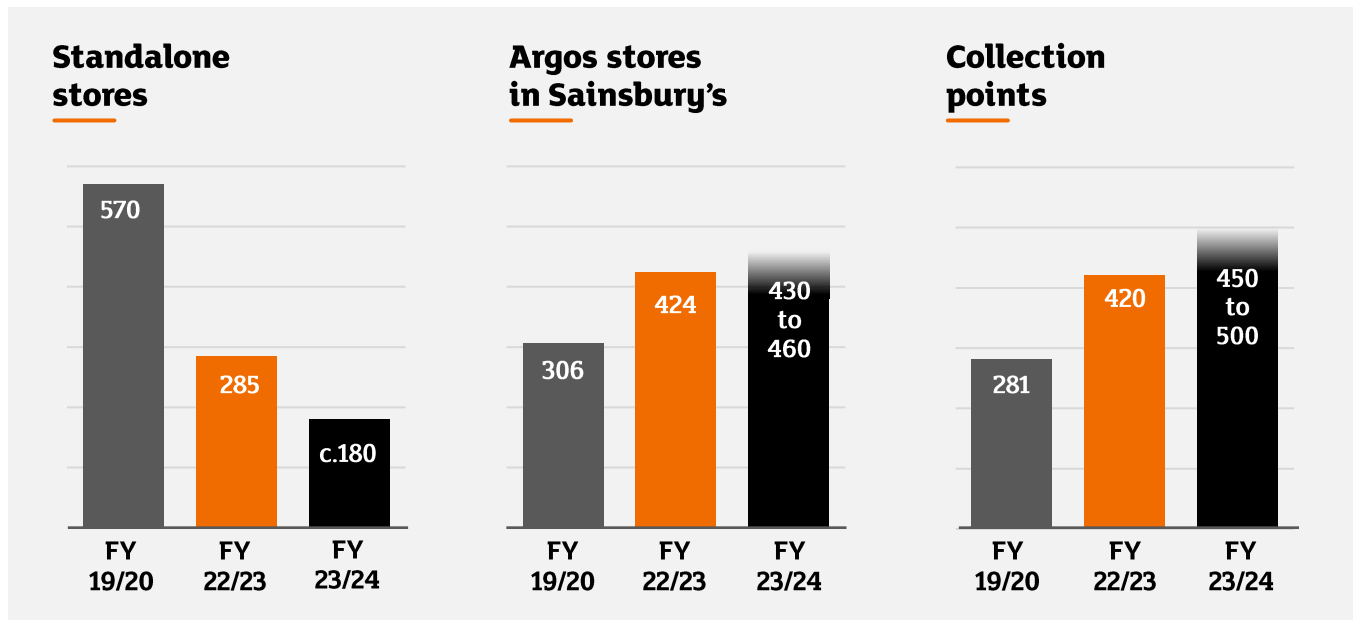
2022/23 Yo3Y

	Q1	Q2	Q3	Q4	FY
	8.7%	10.1%	12.5%	12.4%	10.8%
	(6.2%)	(3.6%)	(6.9%)	1.4%	(4.9%)
	(4.5%)	(0.9%)	(5.0%)	4.2%	(2.9%)
	(13.8%)	(15.5%)	(15.6%)	(11.8%)	(14.6%)
	3.9%	0.8%	(0.4%)	(8.6%)	0.0%
	5.4%	6.7%	6.7%	9.5%	6.7%
	26.9%	24.2%	16.2%	8.6%	20.3%
	8.9%	9.6%	8.0%	9.3%	8.8%

Unique breadth of online grocery options for customers

	 GOL Delivery	 GOL Click & Collect	 Chop Chop	 Deliveroo / Uber Eats / Just Eat
Stores	264	321	84	627
Cities & towns	99% UK population		29	195
Average basket size	£95-£105	£85-£95	£30-£35	£20-£25
Average weekly orders	540k	45k	118k	

Argos transformation



Financial Services

Group contribution basis	FY 2022/23	FY 2021/22	Change	
Total income ¹	£456m	£385m	↑	18%
Underlying operating profit	£55m	£64m	↓	(14)%
Customer lending ²	£5.3bn	£5.1bn	↑	4%
Customer deposits	£4.7bn	£4.2bn	↑	12%
Active customers – Bank	1.9m	1.8m	↑	2%
Active customers – Argos FS	2.1m	2.1m	↔	-
Cost/income ratio	64%	68%	↓	(400)bps
Net interest margin ³	5.1%	4.5%	↑	60bps
Bad debt as a percentage of lending ⁴	2.1%	1.2%	↑	90bps
Total Resource ⁵	1,932	1,837	↑	5%
Total Capital Ratio ⁶	17.9%	18.1%	↓	(20)bps
CET 1 Ratio ⁷	15.5%	15.6%	↓	(10)bps
Liquidity Coverage Ratio ⁸	291%	190%	↑	-

¹ Net interest, net commission and other operating income

² Amounts due from customers at the Balance Sheet date in respect of loans, mortgages, credit cards and AFS credit, net of provisions

³ Net interest receivable / average interest-bearing assets

⁴ Bad debt expense / average net lending

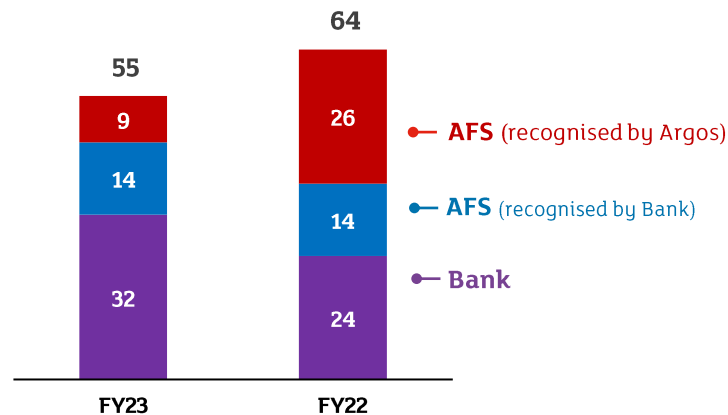
⁵ FTE and contractors

⁶ Total capital / risk-weighted assets

⁷ Common equity Tier 1 capital / risk-weighted assets

⁸ Liquidity coverage ratio 12 month average

Financial Services UPBT £m, Group Contribution



Sainsbury's sales area and store numbers

As at 4 March 2023

Supermarkets

	Area (‘000 sq ft)	Number
Opening figures 22/23	20,803	598
New stores	-	-
Closures	(62)	(3)
Extensions / refurbishments / downsizes	(25)	24
Closing figures 22/23	20,716	595

Convenience

	Area (‘000 sq ft)	Number
Opening figures 22/23	1,918	809
New stores	40	13
Closures	(22)	(8)
Extensions / refurbishments / downsizes	-	-
Closing figures 22/23	1,936	814

Total

	Area (‘000 sq ft)	Number
Opening figures 22/23	22,721	1,407
New stores	39	13
Closures	(84)	(11)
Extensions / refurbishments / downsizes	(25)	24
Closing figures 22/23	22,651	1,409

Sainsbury's store estate

As at 4 March 2023

Number of stores

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	814	0	0	0	0	814
Supermarkets	42	117	192	180	64	595
Total stores	856	117	192	180	64	1,409

Space by store size ('000 sq ft)

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	1,936	-	-	-	-	1,936
Supermarkets	331	1,766	5,637	8,682	4,300	20,716
Total stores	2,267	1,766	5,637	8,682	4,300	22,652

Argos and Habitat store numbers

	As at 5 March 2022	New stores	Disposals/closures	As at 4 March 2023
Argos stores	328	2	(45)	285
Argos stores in Sainsbury's	400	24	-	424
Argos total store numbers	728	26	(45)	709
Argos Collection Points	335	92	(7)	420
Habitat	3	-	-	3
Total Argos and Habitat points of presence	1,066	118	(52)	1,132

Sainsbury's store openings and closures

FY 2022/23

Supermarket

Closures

Slough	Q1
Leicester	Q3
Court House Green	Q4

Convenience

New stores

Hampstead High Street	Q1	Stratford - East Village (<i>Replacement store</i>)	Q3
Woolston Manchester Road	Q1	Northowram Bradford Road	Q3
Middleton St George	Q2	Bramhall - Woodford Road (<i>Replacement store</i>)	Q4
Carshalton Green Wrythe Lane	Q2	Desborough - Harborough Road	Q4
		Hanwell - Uxbridge Road	Q4
		Shepherds Bush - The Broadway	Q4
		Waterloo Station	Q4
		Leeds - SOYO	Q4
		Cambridge - Hobson Square	Q4

Closures

Barnet	Q2	Stratford - East Village	Q3
Gallowgate	Q2	Glasgow Bothwell Street	Q3
		Glasgow Queens Street	Q3
		Mortimer Street	Q4
		Bramhall	Q4
		Clerkenwell St John'S Lane	Q4

Retail margin

As of 4 March 2023

	FY 2022/23	FY 2021/22	Change
Retail sales (inc VAT, inc fuel) £m	34,626	32,924	↑ 5.2%
Retail sales (excl VAT, inc fuel) £m	28,664	28,095	↑ 2.0%
Retail underlying EBITDA £m ¹	2,060	2,145	↓ (4.0)%
Retail underlying EBITDA margin % ²	6.65	7.28	↓ (61)bps
Retail underlying operating profit £m ³	926	1001	↓ (7.5)%
Retail underlying operating margin % ⁴	2.99	3.40	↓ (41)bps

¹ Retail underlying operating profit before underlying depreciation and amortisation of £1,134 million

² Retail underlying EBITDA divided by retail sales excluding VAT

³ Retail underlying earnings before interest, tax and Sainsbury's underlying share of post-tax profit from joint ventures

⁴ Retail underlying operating profit divided by retail sales excluding VAT

Grocery sales performance by channel	FY 2022/23	FY 2021/22
Total Sales fulfilled by Supermarket stores	1.9%	(2.0)%
<i>Supermarkets (inc Argos stores in Sainsbury's)</i>	4.8%	(1.8)%
<i>Groceries Online</i>	(13.5)%	(4.7)%
Convenience	9.9%	8.8%

Financial metrics

	FY 2022/23	FY 2021/22
Return on capital employed ¹	7.6%	8.4%
Net debt to EBITDA ²	3.0x	3.1x
Fixed charge cover ³	2.7x	2.8x
Underlying tax rate	22.8%	21.1%

¹ ROCE: return divided by capital employed. Return is defined as a 52 week rolling underlying profit before interest and tax. Capital employed is defined as group net assets excluding the pension deficit/ surplus and excluding net debt. The average is calculated on a 14 point basis

² Net debt of £6,344 million includes lease obligations under IFRS 16 and perpetual securities treated as debt, divided by Group underlying EBITDA of £2,139 million

³ Group underlying EBITDA divided by rent (both capital and interest) and net underlying finance costs, where interest on perpetual securities is treated as an underlying finance cost

Plc Board



Martin Scicluna
Chair



Simon Roberts
Chief Executive



Bláthnaid Bergin
Chief Financial Officer



Jo Bertram
Non-Executive Director



Brian Cassin
Senior Independent Director



Jo Harlow
Non-Executive Director



Adrian Hennah
Non-Executive Director



Tanuj Kapilashrami
Non-Executive Director



Keith Weed CBE
Non-Executive Director

Board Changes in 2022/23

Dame Susan Rice retired from the Board on 7 July 2022.

Jo Bertram was appointed to the Board on 7 July 2022.

Kevin O'Byrne retired from the Board on 4 March 2023, after six years' service as Chief Financial Officer.

Following Kevin's retirement, **Bláthnaid Bergin** was appointed as Chief Financial Officer and a Director of the Board on 5 March 2023. A resolution to elect Bláthnaid as a Director will be put to Shareholders at the AGM to be held on 6 July 2023.

Plc Board

Martin Scicluna Chair

Date of Appointment:

March 2019 (joined the Board November 2018)

Skills and experience

Martin joined the Board as Chair Designate and Non-Executive Director on 1 November 2018. He was appointed **Chair of the Board** on 10 March 2019 and is also **Chair of the Nomination and Governance Committee** and a **member of the Corporate Responsibility and Sustainability Committee**.

Martin brings a wealth of experience from over 30 years' service as an executive and non-executive board director at a wide range of companies. Previous roles include Chairman of RSA Insurance Group plc, Chairman of Great Portland Estates plc, Senior Independent Director and Chair of the Audit Committee of Worldpay Inc., and Non-Executive Director and Chair of the Audit Committee of Lloyds Banking Group plc. He was a partner at Deloitte LLP for 26 years, serving as Chairman from 1995 to 2007, where his clients included Dixons, WH Smith, Alliance Unichem and Cadbury.

Martin has extensive experience as a Chair. He brings valuable knowledge and skills in developing strategy and evaluating business opportunities, along with an understanding of the financial services sector and how it operates. As Chair, Martin has a deep understanding of governance and what is needed to lead an effective Board.

Simon Roberts Chief Executive

Date of Appointment:

June 2020 (joined the Operating Board July 2017)

Skills and experience

Simon was appointed as Chief Executive Officer on 1 June 2020, having joined Sainsbury's and the Operating Board in July 2017 as Retail & Operations Director, with responsibility for Stores, Central Operations and Logistics. He is a **member of the Corporate Responsibility and Sustainability Committee**.

Simon has worked in retail for over 30 years, having started at Marks and Spencer and joining Sainsbury's from Boots where he was most recently Executive Vice President of Walgreens Boots Alliance and President of Boots UK and Ireland.

Simon is a member of the Government's Retail Sector Council and Advisory Board Member of Diversity in Retail.

Simon is leading Sainsbury's plan to put food back at the heart of the business. Under Simon's stewardship, Sainsbury's has launched its Plan for Better, which is integrated into our strategy and includes a bold commitment to become Net Zero across our own operations by 2035. Simon has led significant investments into colleague pay, most recently leading the industry in paying the Living Wage across the whole country as part of a cost of living support package. Simon is a dedicated, determined and enthusiastic champion for our customers and colleagues and for inclusion and diversity across our company.

Bláthnaid Bergin Chief Financial Officer

Date of Appointment:

March 2023

Skills and experience

Bláthnaid was appointed as Chief Financial Officer on 5 March 2023, having joined Sainsbury's in 2019 as Group Director of Finance before becoming Commercial and Retail Finance Director in 2021.

Prior to joining Sainsbury's, Bláthnaid was Chief Finance Operations Officer at Aviva. She was also Group Financial Controller for RSA Insurance, as well as Joint Interim Group Chief Financial Officer for six months. She is a qualified Chartered Accountant and spent most of her career at GE in various finance roles working across Europe, Asia and Australia. Bláthnaid was previously Non-Executive Director, Chair of the Audit Committee and Senior Independent Director for Artemis Alpha Investment Trust.

Bláthnaid is well embedded in our business and is a highly respected leader. She has a strong record of financial leadership and, over the last three years at Sainsbury's, has supported the development and delivery of our strategy. Bláthnaid has extensive international and finance experience gained during previous and current executive and non-executive positions.

Plc Board

Jo Bertram

Non-Executive Director

Date of Appointment:

July 2022

Skills and experience

Jo joined the Board on 7 July 2022 and is a **member of the Corporate Responsibility and Sustainability Committee and the Nomination and Governance Committee.**

Jo is a highly talented strategic business leader with significant experience leading transformation and change. Prior to becoming Managing Director, Business & Wholesale at Virgin Media O2, Jo held senior Director and Strategy roles at O2. Between 2013 and 2017, she held the position of Regional General Manager, Northern Europe at Uber. Jo has previously worked at McKinsey and Accenture and holds an MBA from INSEAD.

Jo has worked in growing hi-tech sectors which benefits our customers as we explore new ways to use digital solutions to make shopping easy and convenient.

Brian Cassin

Senior Independent Director

Date of Appointment:

July 2022 (joined the Board April 2016)

Skills and experience

Brian joined the Board on 1 April 2016 and became the Senior Independent Director on 7 July 2022. He is a **member of the Audit Committee and the Nomination and Governance Committee.**

Brian brings relevant experience of running a FTSE 100 group with knowledge of big data and analytics, both areas of key importance to Sainsbury's. As Chief Executive Officer of Experian plc, Brian brings strong leadership experience and a substantial background in operating within a regulated environment. He joined Experian plc as Chief Financial Officer in April 2012, a post he held until his appointment as Chief Executive Officer in July 2014. Prior to this, Brian spent his career in investment banking at Greenhill & Co, where he was Managing Director and Partner. Brian has also held various roles at Baring Brothers International and at the London Stock Exchange.

Brian's current experience as a Chief Executive and his work in the financial and technology sectors provide valuable industry insight.

Jo Harlow

Non-Executive Director

Date of Appointment:

September 2017

Skills and experience

Jo joined the Board on 11 September 2017 and became **Chair of the Remuneration Committee** in July 2022. She is a **member of the Corporate Responsibility and Sustainability Committee and the Nomination and Governance Committee.**

Jo brings a wealth of experience in consumer-facing businesses and the telecoms and technology industries, both in the UK and internationally. She was Corporate Vice President of the Phones Business Unit at Microsoft Corporation and, before that, was Executive Vice President of Smart Devices at Nokia Corporation, following a number of senior management roles at Nokia from 2003. Prior to that, Jo held marketing, sales and management roles at Reebok International Limited from 1992 to 2003 and at Procter & Gamble Company from 1984 to 1992. Jo currently serves as Non-Executive Director and Chair of the Remuneration Committee of InterContinental Hotels Group plc, Non-Executive Director and Chair of the Remuneration Committee of Halma plc and Director of Chapter Zero Limited.

Jo has broad experience from executive and non-executive roles and she has helped the business deliver and evolve its sustainability strategy. She also brings current external Remuneration Committee experience.

Plc Board

Adrian Hennah

Non-Executive Director

Date of Appointment:

April 2021

Skills and experience

Adrian joined the Board on 1 April 2021. He is **Chair of the Audit Committee** and a **member of the Remuneration Committee, and the Nomination and Governance Committee.**

Adrian has significant financial and strategic expertise from leading the performance and strategy of many large companies. He started his career working in audit and consultancy with PwC and Stadtsparkasse Köln, the German regional bank. Adrian spent 18 years in Chief Financial Officer roles at three FTSE 100 companies. He was Chief Financial Officer at Reckitt Benckiser (RB) for seven years and held the same position at Smith & Nephew and Invensys. Prior to this, he spent 18 years at GlaxoSmithKline, working in both finance and operations. He was also previously Non-Executive Director and Chair of the Audit Committee at RELX. Adrian currently serves as a Non-Executive Director of Oxford Nanopore Technologies plc, a Non-Executive Director of Unilever plc, an external member (NED) of the Finance Committee (Board) of Oxford University Press and a Trustee of Our Future Health.

Adrian brings extensive financial and leadership experience to Sainsbury's gained from Chief Financial Officer positions held in some of the UK's largest companies, notably at RB, which produces leading hygiene, health and nutritional brands.

Tanuj Kapilashrami

Non-Executive Director

Date of Appointment:

July 2020

Skills and experience

Tanuj joined the Board on 1 July 2020 and is a **member of the Remuneration Committee and the Nomination and Governance Committee.**

Tanuj is a highly experienced HR professional with significant experience in talent and change management, both in the UK and internationally. She joined Standard Chartered Bank in 2017 and is currently the Group Head of HR. Prior to this, Tanuj spent 17 years in key global and regional HR leadership roles within HSBC. Tanuj is also a Trustee of Asia House and a Director of Financial Services Skills Commission Limited.

Tanuj is a valuable member of the Board as the business continues to adapt and support its colleagues in a rapidly changing marketplace.

Keith Weed CBE

Non-Executive Director

Date of Appointment:

July 2020

Skills and experience

Keith joined the Board on 1 July 2020 and became **Chair of the Corporate Responsibility and Sustainability Committee** on 7 July 2022. He is a **member of the Audit Committee and the Nomination and Governance Committee.**

Keith is an exceptionally capable marketing and digital leader. He has championed new ways of integrating sustainability into business and building brands with purpose. Keith was awarded a CBE for services to the advertising and marketing industry in the 2021 New Years Honours List. He has a strong business background, having spent 36 years at Unilever plc, most recently as Chief Marketing and Communications Officer, which included leading the company's ground-breaking sustainability programme globally. Whilst at Unilever, Keith led different parts of the business, during which time he worked closely with Sainsbury's and other retailers. He has strong international experience and knowledge, having run international businesses both in the UK and overseas. He is currently a Non-Executive Director of WPP plc, Trustee Director of Business in the Community, Trustee Director of The Leverhulme Trust and President of The Royal Horticultural Society. He is also a trustee of Grange Park Opera.

Keith plays an important role in Sainsbury's strategic focus to put food back at the heart of the business and deliver on our Plan for Better. He has an excellent understanding of both sustainability and digital, and the ways that technology is transforming businesses.

Operating Board



Simon Roberts
Chief Executive



Bláthnaid Bergin
Chief Financial Officer



Rhian Bartlett
Food Commercial Director



Graham Biggart
Chief Transformation Officer



Jim Brown
Chief Executive Officer,
Sainsbury's Bank



Tim Fallowfield OBE
Company Secretary
and Corporate
Services Director



Mark Given
Chief Marketing Officer



Clodagh Moriarty
Chief Retail and
Technology Officer



Paula Nickolds
General Merchandise
Commercial Director



Angie Risley
Group HR Director

Operating Board

Simon Roberts
Chief Executive

See Appendix 12

Bláthnaid Bergin
Chief Financial Officer

See Appendix 12

Rhian Bartlett
Food Commercial Director

Date of Appointment:
November 2020

Skills and experience

Rhian joined the Operating Board in November 2020, having returned to Sainsbury's in 2019 as Director of Fresh Food. Rhian is responsible for delivering the commercial performance of Sainsbury's food business and brands. She has over 20 years' experience in the retail industry and has held a variety of senior commercial roles, including Customer and Digital Director at Screwfix and Director of UK Trading at eBay. Rhian's previous roles at Sainsbury's include Business Unit Director Non-Food Grocery and Head of Online Merchandising. Rhian is a Non-Executive Director of Speedy Hire Plc and is a Trustee of GroceryAid.

Graham Biggart
Chief Transformation Officer

Date of Appointment:
March 2022

Skills and experience

As Chief Transformation Officer, Graham is responsible for our strategy and the delivery of our major end-to-end change programmes across Sainsbury's, Argos, Habitat and Tu. He is also accountable for our Supply Chain, as well as Logistics, Fulfilment & Transport, and our Central Business Services teams. Graham joined Sainsbury's in 2015 and has led a number of different areas of the business in that time, across commercial, operations and channels, including as Commercial Director for Fresh Food & Foodservice and as Commercial Operations Director covering Range, Space, Price & Formats, as well as Sainsbury's Local and Argos Republic of Ireland. Prior to Sainsbury's, Graham worked at McKinsey & Company, primarily on strategy and transformation topics and, before that, at Brunswick Group, focused on media, investor and government communications. Graham is a Non-Executive Director and Chair of the Risk & Audit Committee of GS1 UK.

Jim Brown
Chief Executive Officer, Sainsbury's Bank

Date of Appointment:
June 2019

Skills and experience

Jim joined Sainsbury's Bank in June 2019. He has held several senior international financial services roles, most recently at RBS in the UK as Chief Executive Officer of Williams & Glyn. Prior to that, Jim was Chief Executive Officer of Ulster Bank in Northern Ireland and the Republic of Ireland. Before moving to Ireland, Jim was based in Hong Kong and was Chief Executive Officer of Retail and Commercial Banking, Asia and the Middle East for RBS and ABN AMRO. He has also been a member of the RBS Group Management Committee, ABN AMRO Top Executive Group, ABN AMRO Global Consumer Leadership Team and the RBS/Bank of China Joint Steering Committee. Earlier in his career, he held several senior executive roles for Citibank in Asia, Australia and New Zealand. Jim has also held board positions at Ulster Bank, Saudi Hollandi Bank, The Royal Bank of Scotland (China) Co. Ltd and RBS (Pakistan) Ltd. He is a past President of the Institute of Banking, is a Certified Bank Director, and is currently an advisor to Circuit Limited.

Operating Board

Tim Fallowfield OBE

Company Secretary and Corporate Services Director

Date of Appointment:

September 2004

Skills and experience

Tim joined Sainsbury's in 2001 as Company Secretary, having previously held the position of Company Secretary and General Counsel at Exel plc, the global logistics company, now part of DHL. Tim is a qualified solicitor and began his career at the international law firm, Clifford Chance. He joined Sainsbury's Operating Board in September 2004 and, in his role as Company Secretary and Corporate Services Director, he is responsible for the Corporate Services Division, comprising Legal Services, Data Governance and Information Security, Safety and Insurance, and Shareholder Services. He also chairs the Group Safety Committee and the Data Governance Committee.

Tim is Chairman of the Disability Confident Business Leaders Group, which works with government in shaping the disability employment agenda and in raising awareness of the benefits of employing disabled people. He was awarded an OBE for services to disability awareness in the 2020 New Year Honours List. Tim is a member of the Trustee Board of Save the Children.

Mark Given

Chief Marketing Officer

Date of Appointment:

June 2020

Skills and experience

Mark joined the Operating Board in June 2020. He has significant experience in customer insight, brand communication and digital marketing. Mark joined Sainsbury's in 2012, becoming Marketing Director in 2017. He was appointed Chief Marketing Officer in August 2019 and has responsibility for Marketing & Loyalty across the Sainsbury's, Argos, *Tu* clothing and Habitat brands. Mark has also been responsible for the Nectar Loyalty coalition and the Nectar360 media business since 2018. In 2021, Mark assumed responsibility for all Corporate Responsibility & Sustainability activity, including delivery of our Plan for Better targets. Prior to joining Sainsbury's, Mark built his digital skills leading the Priority programme at O2, where he was Head of Sponsorship. Before this, Mark worked with key brands at Heineken UK where he was Brand Director. He began his career at Procter & Gamble UK before working across Europe on a variety of brands. Mark is currently a Council Member of the Incorporated Society of British Advertisers (ISBA) and a Fellow of the Marketing Society.

Clodagh Moriarty

Chief Retail and Technology Officer

Date of Appointment:

June 2018

Skills and experience

Clodagh joined the Operating Board in 2018 and was appointed as Chief Retail and Technology Officer in March 2023, combining the leadership of Technology with the Group's Digital and Retail teams. She is responsible for all stores and their operations, as well as Sainsbury's digital offer and strategy, ensuring customers experience an integrated and seamless shopping experience across Sainsbury's, Argos, *Tu*, Sainsbury's Bank and Nectar. Clodagh's previous roles in Sainsbury's include Retail and Digital Director and Chief Digital Officer. She is also a member of the Sainsbury's Bank Board and sits on its Nomination and Remuneration Committees. Clodagh is the Operating Board Sponsor for Wellbeing, ensuring we uphold our colleague mental health and wellbeing commitments across the business. Clodagh joined Sainsbury's as Head of Strategy, following nine years at Bain & Company and, during her time with us, has had numerous leadership roles across commercial and channels. She is a Non-Executive Director and member of the Remuneration and Nomination and Governance Committees of Taylor Wimpey plc.

Operating Board

Paula Nickolds

General Merchandise Commercial Director

Date of Appointment:

June 2021

Skills and experience

Paula joined Sainsbury's and the Operating Board in June 2021. She is responsible for delivering performance across all general merchandise brands at Sainsbury's. Paula has 25 years' experience in retail, gained at the John Lewis Partnership, which she joined as a graduate trainee before holding a variety of senior roles in product, buying and marketing. Most recently, she was Buying and Brand Director and then Commercial Director, before becoming Managing Director in 2017. Paula is an Ambassador for the UK charity Smart Works, Chair of the Advisory Board of NearSt and Non-Executive Chair of CurrentBody.

Angie Risley

Group HR Director

Date of Appointment:

January 2013. Angie will retire from the Operating Board in June 2023.

Skills and experience

Angie was appointed Group HR Director and became a member of the Operating Board with responsibility for human resources in January 2013. Before joining Sainsbury's, Angie was the Group HR Director for Lloyds Banking Group and an Executive Director of Whitbread PLC with responsibility for HR and Corporate Social Responsibility. She was previously a Non-Executive Director and Chair of the Remuneration Committee of Serco plc. Angie is currently a Non-Executive Director, member of the Compliance & Culture and Nomination Committees and Chair of the Remuneration Committee of Smith & Nephew plc.

Operating Board Changes

Kevin O'Byrne retired from the Board on 4 March 2023. Following Kevin's retirement, **Bláthnaid Bergin** was appointed as Chief Financial Officer.

Phil Jordan retired from the Board on 4 March 2023. Following Phil's retirement, **Clodagh Moriarty's** role was expanded to Chief Retail and Technology Officer, combining the leadership of Technology with the Group's Digital and Retail teams.

Angie Risley has confirmed her intention to retire from Sainsbury's in June 2023. **Prerana Issar** has been appointed as the Group's Chief People Officer, joining the Operating Board on 30 May 2023.

Supplementary financial details

1. Weighted average number of shares

FY 2022/23: 2,312.6m (and 2,352.2m diluted)

FY 2021/22: 2,271.8m (and 2,351.0m diluted)

2. Dividend

	2022/23	2021/22
Interim	3.9p	3.2p
Final	9.2p	9.9p
Total	13.1p	13.1p

The final dividend dates:

	Ordinary shares
Ex-dividend	8 June 2023
Record	9 June 2023
Payment	14 July 2023

3. Financial calendar

Q1 trading statement

(16 weeks to 24 June 2023)

4 July 2023

Interims results

(28 weeks to 16 September 2023)

2 November 2023